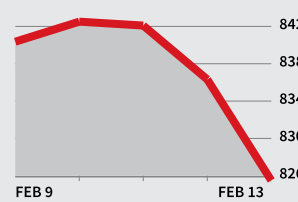


# the hindu businessline

SENSEX 82626.76 (-953.64)



IN FOCUS

|                       | Week's close | Week's change |
|-----------------------|--------------|---------------|
| Nifty 50              | 25471.10     | -222.60       |
| P/E Ratio (Sensex)    | 22.69        | -0.46         |
| US Dollar (in ₹)      | 90.63        | -0.02         |
| Gold Std 10 gm (in ₹) | 152153.00    | +684          |
| Silver 1 kg (in ₹)    | 242433.00    | -2496         |

## SPARK.

**Indian cybersecurity** start-ups build product platforms, expand globally amid rising AI threats and digitisation **p8**



## CURRENT ACCOUNT.

**Banks rebalance** balance sheets, diversify income, tap bond markets as funding structures evolve **p9**

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## QUICKLY.

### GROWTH DRIVERS

**'Embassy REIT banks on rental gains, expansion'**



**Bengaluru:** Embassy Office Parks REIT expects growth over the next few years to be driven by rental increases, embedded escalations and its 7.6 million sq ft expansion pipeline, CEO Amit Shetty told *businessline*, as tightening supply lifts office rents. Against this backdrop, the REIT has lifted occupancy to about 94 per cent by value and recorded 9 per cent rental growth across its portfolio. **p2**

### FOCUS ON COMPLIANCE

**SEBI reviews non-agri derivatives position limits**

**Mumbai:** A working group constituted by the Securities and Exchange Board of India (SEBI) on the ease of doing business in the non-agricultural commodity derivatives segment held its first meeting last week on Thursday, taking up a review of position limits and the frequency of Product Advisory Committee meetings at the exchanges. **p3**

# Religare to split financial services, insurance biz into 2 listed entities

**DEMERGER PLAN.** First major restructuring since the Burmans took over REL in Feb 2025

**Our Bureau**  
Mumbai

The Burman family-backed Religare Enterprises (REL) has approved a plan to demerge the financial services and insurance businesses into separate listed entities, in a move aimed at unlocking shareholder value and sharpening strategic focus.

The decision was approved at the company's board meeting held on Saturday. The group aims to complete the process and list Religare Finvest (RFL) by Q1 FY28. This is the first major restructuring announced by the company since the Burmans took over REL in February 2025.

### BUSINESS TRANSFER

Under the proposed scheme of arrangement, REL will retain its stake in Care Health Insurance, which will continue as an insurance-focused entity. The financial services business — comprising lending, broking, investment activities and related support services — will be transferred on a going-concern basis to RFL.

### SHIFTING SHAPE

- REL will retain its stake in Care Health Insurance, which will continue as an insurance-focused entity
- The financial services business will be transferred to Religare Finvest, which will issue equity shares to REL shareholders on a 1:1 mirror shareholding basis
- The group aims to complete the process and list RFL by Q1FY28 after regulator and shareholder approval



As part of the demerger consideration, RFL will issue fully paid-up equity shares to shareholders of REL on a 1:1 mirror shareholding basis. Post-demergers, RFL will be listed on the BSE and NSE with a mirror-image shareholding structure to REL.

The company said the restructuring is aimed at streamlining operations by creating two independent entities, allowing each business to pursue sector-specific growth strategies and opportunities.

It will also strengthen oversight and control mechanisms while enabling focused management attention aligned with the

performance and objectives of each business, it said.

Pratul Gupta, Chief Financial Officer, REL, said each entity will benefit from improved capital allocation efficiency, enhanced transparency for investors and the ability to optimise its capital structure based on its business characteristics and growth requirements. The transaction is expected to broaden the combined investor base, reduce complexity and create two well-capitalised platforms ready to pursue their strategic ambitions independently, he said.

The company is confident that this transformation will establish both entities as

leaders in their respective domains, each with the resources, focus and flexibility to capitalise on significant growth opportunities ahead, he added.

The transaction will be implemented through a scheme of arrangement to be filed with the National Company Law Tribunal and is subject to statutory and regulatory approvals.

The company added that there will be no interruption to business operations during the transition period.

### INVESTOR BENEFIT

Vinit Bolinjar, Head of Research, Ventura Securities, said the move to demerge the insurance and financial services businesses by Religare Enterprises will be beneficial for investors as they get exposure to a pure-play health insurance company; there are very few of them in the listed space.

He added that the financial services business has huge potential, given the growing participation of retail investors in equity markets and the growing demand for allied services, including lending.

# Blackstone leads \$1.2 b funding round in AI cloud platform Neysa

**Vallari Sanzgiri**  
Mumbai

Blackstone Inc, along with co-investors, has agreed to acquire over 50 per cent stake in AI acceleration cloud platform Neysa, which is raising \$1.2 billion through an equal mix of debt and equity.

Blackstone will provide up to \$600 million in equity raise and partner with Neysa's Co-Founder and Chief Executive Officer Sharad Sanghi to accelerate its growth. The move provides a material impetus to Neysa's planned scale-up and deployment of over 20,000 GPUs in India.

Other equity investors include TVS Capital, 360 ONE Assets, Nexus Ventures and Teachers' Venture Growth. Neysa will also secure \$600 million in debt financing, subject to documentation.

This marks Blackstone's first investment in a pure-play AI platform in India. Globally, it has backed OpenAI and Anthropic.

"India's AI ambition requires production-grade infrastructure built and operated at scale. With Blackstone's experience in scaling critical infrastructure, we aim to help establish India as a globally relevant AI



This marks Blackstone's first investment in a pure-play AI platform in India **REUTERS**

compute destination," said Sanghi.

Neysa provides purpose-built and cost-effective GPU-based AI infrastructure that enables enterprises and institutions to train, fine-tune and deploy AI workloads.

### GLOBAL FOOTPRINT

Blackstone affiliates are a significant global investor in the foundational tools, infrastructure and technologies that drive AI's development and adoption, such as the world's largest data centre platform QTS, Asia Pacific's leading data centre platform AirTrunk, specialised cloud infrastructure company CoreWeave, and Australia-based AI infrastructure platform Firmus.

Amit Dixit, Head of Asia Private Equity at Blackstone, said, "This investment rein-

forces Blackstone's focus on backing the essential 'picks and shovels' of AI globally, including in India."

Ganesh Mani, Senior Managing Director, Blackstone Private Equity, said, "This investment positions Neysa to play a role in advancing AI infrastructure in India and enables businesses and public institutions to deploy AI technologies effectively as AI adoption accelerates."

Greyhound Research said this strengthens India's bargaining power in global AI compute allocation cycles and deepens sovereign capacity optionality. However, utilisation must ramp predictably, pricing assumptions must remain conservative, and debt structuring must account for hardware refresh velocity.

"This deal will succeed operationally if power is secured ahead of silicon delivery, cooling architecture is optimised for density, and interconnect fabric is engineered for training scale. It will struggle if infrastructure readiness lags hardware procurement," said Sanchit Vir Gogia, Chief Analyst at Greyhound Research, adding how the deal shows institutional conviction that GPU clusters are becoming long-duration digital utilities.

# India, France likely to sign MoU for joint venture to locally produce Hammer missiles on Feb 17

**Dalip Singh**  
New Delhi

India and France are likely to sign an MoU for a joint venture for indigenous production of Hammer missiles, which are payloads carried by Rafale fighter aircraft, besides extending by another 10 years the existing defence cooperation agreement on February 17 — the day French President Emmanuel Macron lands in Bengaluru to begin his three-day official visit.

Hammer, an all-weather air-to-surface smart stand-off weapon, is expected to be manufactured by Bharat Electronics Ltd (BEL) through a 50-50 joint venture with its original French manufacturer, Safran Electronics & Defence.

It will be mounted on Ra-



Hammer missiles are key payloads carried by Rafale fighter aircraft **PTI**

fale fighter aircraft used by the Indian Air Force and the Navy, which will start receiving 26 maritime versions from 2028.

### RAFALE TALKS

The Defence Acquisition Council recently approved a contract to initiate formal government-to-government negotiation for another 114 Rafale, the majority of which will be produced in India.

The missile comes in three variants, with different guid-

ance options depending on the target and operational context.

Defence Minister Rajnath Singh will co-chair the sixth India-France Annual Defence Dialogue with Minister of the Armed Forces and Veterans Affairs of France Catherine Vautrin in Bengaluru to review the entire gamut of bilateral defence cooperation, with a focus on expanding industrial collaboration, the Ministry of Defence said in a statement on Sunday.

An announcement is also expected on the reciprocal deployment of officers at the Indian Army and French Land Forces establishments.

The two Ministers are also expected to witness the virtual inauguration of the H125 light utility helicopter final assembly line of Tata Airbus by Prime Minister Narendra Modi and French

President Emmanuel Macron at Vemagal in Karnataka.

The India-France Annual Defence Dialogue is a structured ministerial-level bilateral meeting to review and guide defence and security cooperation.

The fifth edition of the meeting was held in France from October 11 to October 13, 2023.

### STRATEGIC TIES

Defence has traditionally been an important pillar of the relationship between the countries. The strong bilateral ties were vividly reflected in 2024-2025 through a series of high-profile exchanges. Prime Minister Modi was the Guest of Honour at the Bastille Day parade in July 2023, before the French President attended the Republic Day parade 2024 as the chief guest.

# India pushes responsible AI as Delhi gears up for global summit

To attempt a Guinness record citizen engagement campaign pledging ethical use of AI

**S Ronendra Singh**  
New Delhi

The tulips are in bloom on the diplomatic avenues of the Capital. Traffic management advisories are in place. Hospitals are in a state of high alert and readiness as New Delhi goes all out to welcome tech leaders and heads of state for the world's largest artificial intelligence (AI) Impact Summit, which kicks off on Monday.

Over 2.5 lakh visitors, including international delegates, are expected to attend the summit and over 500 sessions will be organised, featuring more than 3,250 speakers and panel members.

Even as the city is seeing beautification drives, reminiscent of the G-20 summit makeover, a massive "responsible AI" nationwide campaign involving



**STAGE IS SET.** Preparations underway ahead of the summit at Bharat Mandapam in New Delhi **SHASHI SHEKHAR KASHYAP**

citizens has also been planned.

### NATIONAL CAMPAIGN

The Ministry of Electronics and Information Technology (MeitY), under the IndiaAI Mission and in collaboration with Intel India, is launching a nationwide campaign mobilising citizens to commit to the ethical, inclusive and responsible use of AI. The initiative will attempt an official Guinness World Records

title for the "Most pledges received for an AI responsibility campaign in 24 hours".

The campaign seeks to reinforce India's commitment to building a trustworthy and human-centric AI ecosystem, the MeitY said. Designed as an interactive and awareness-driven experience, the initiative includes scenario-based questions that encourage participants to reflect on responsible AI

practices before taking the formal pledge. The AI Impact Summit 2026 will also see the government releasing the 'India AI Governance Guidelines'.

Prime Minister Narendra Modi will inaugurate the summit, which will bring together global technology firms, start-ups, academia and research institutions, Union Ministries, State governments, and international partners.

The expo will feature 13 country pavilions. These include pavilions from Australia, Japan, Russia, the UK, France, Germany, Italy, the Netherlands, Switzerland, Serbia, Estonia, Tajikistan and Africa.

Sessions at the summit will focus on acknowledging the transformative impact of AI across sectors and deliberating on actions to ensure that AI benefits every global citizen.

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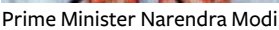
*Har Pal Aapke Saath*

LIC/PGS/P/1/2025-26/31/Eng



**NEXT LEVEL.** Objective is to add momentum, prepare youth for the opportunities of a rapidly changing world: Prime Minister

Calling productive spending a hallmark of his government, Prime Minister Narendra Modi on Sunday said that the just unveiled Union Budget deliberately avoided short-term populism and instead channelled record capital outlays into infrastructure to drive jobs and sustainable growth.



In an exclusive interview with PTI, Modi said his government had used its years in office to plug “structural gaps left behind by earlier administrations,” pursued bold reforms and laid the foundation for a developed India. He asserted that the latest Budget marks the “next level” of that journey. Describing the Budget for FY27, starting April 1, as reflective of his governance approach, Modi said the document “is a good reflection of our governance style and priorities”.

“This Budget represents the next level in this journey, imparting momentum to our ‘Reform Express.’ It is de-

signed to accelerate momentum and prepare our youth for the opportunities of a rapidly changing world," the Prime Minister told *PTI*. He cited the pre-Budget Economic Survey to state that capital accumulation, labour formalisation and digital public infrastructure together had elevated India's potential growth rate to 7 per cent. "Productive spending has been a hallmark of our government. The high capital expenditure reflects our focus on infrastructure and capital investment, which are strong engines for long-term growth," he said.

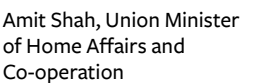
The FY27 Budget sharply scales up capital expenditure to ₹12.2 lakh crore — a 5-times increase compared to

Embassy Office Parks REIT expects growth over the next few years to be driven by rental increases, embedded escalations and its 7.6 million sq ft expansion pipeline, CEO Amit Shetty told *businessline* as tightening supply lifts office rents.

Against this backdrop, the REIT has lifted occupancy to about 94 per cent by value (around 90 per cent by area) and recorded roughly 9 per cent rental growth across its portfolio, alongside an estimated 11 per cent market opportunity.

Betting on this demand, REIT has announced 7.6 m sq ft of organic expansion within its portfolio, involving a capital outlay of about ₹4,000

Union Home and Co-operation Minister Amit Shah inaugurated the country's first Central Bank Digital Currency (CBDC)-based public distribution system in Gandhinagar, Gujarat, terming it a "leak-proof" reform that will digitise and secure India's flagship food subsidy programme.



Addressing stakeholders and officials at the launch, Shah said the system marks a decisive departure from direct benefit transfers. "Using this system, corruption will be fully eliminated from the PDS and beneficiaries will be provided rations in a transparent manner," he added, highlighting the promise of real-time tracking and accountability in food entitlements.

Recalling past challenges, Shah noted that earlier inefficiencies — from manual weighing scales to fake ration cards — had been progressively tackled with digitisation and e-ration card rollouts over the past decade, and the CBDC-enabled system took that transformation further.

Indian Overseas Bank (IOB) has expanded its dedicated start-up banking network to two more cities, viz. Delhi, Mumbai and Bengaluru, building on the success of its first branch in Chennai. The bank has also introduced 'IOB Gram Sweekar', a focused rural outreach programme to ensure universal access to its

flagship financial products and services. The bank aims to take the initiative to 90 gram panchayats across 14 districts in Tamil Nadu and in Thiruvananthapuram district, Kerala. The initiatives were inaugurated by M Nagaraju, Secretary, Department of Financial Services, along with the bank's top management as part of the IOB's 90<sup>th</sup> Foundation Day.

2013 — as the Modi government reinforces its strategy of prioritising infrastructure creation, logistics expansion and investment in sunrise sectors to drive long-term growth. It lays emphasis on spending on rail, roads, digital and energy infrastructure, alongside measures to ease compliance and improve credit flow as the central lever for job creation and economic momentum.

“This reflects a conscious strategic choice to invest in assets that create productivity, jobs and future economic capacity rather than short-term populism. This shows that our focus is on ... advancing the nation’s progress towards Viksit Bharat,” Modi said.

“Therefore, we revolutionised the sector with our speed, scale and focus on creating next-gen infrastructure, while upgrading the existing infrastructure. In the last decade or so, India has seen perhaps the most expensive infrastructure-building effort in our history, an unprecedented emphasis on quality,” he said.

Shetty said it will continue to evaluate third-party and sponsor assets that enhance earnings and complement existing business ecosystems.

The REIT's debt book stands at about ₹21,600 crore, with roughly 60 per cent fixed-rate borrowings. It aims to increase the fixed rate share to about 70 per cent.

Embassy REIT posted growth in revenue from operations by 17 per cent y-o-y to ₹1,193 crore, and NOI by 15 per cent y-o-y to ₹985 crore. The quarterly distributions were at ₹613 crore or ₹6.44 per unit, up 10 per cent y-o-y. Embassy also raised ₹400 crore through a commercial paper at an effective rate of 6.44 per cent per annum.

Union Minister Pralhad Joshi elaborated that the digital tokens are issued into RBI-linked wallets and can be used only for purchasing ration items at authorised shops.

"This system ensures only eligible beneficiaries receive payments in a timely manner," he said, stressing that the CBDC tokens cannot be spent on other goods — a feature that helps prevent subsidy misuse and leakage.

As part of the rollout, Shah also inaugurated an 'Annapurna Grain ATM', an automated dispensing machine that will operate 24x7. From March 2026, beneficiaries will be able to collect 1 kg packets of tur dal, chana, sugar and salt, along with up to 25 kg of wheat and rice, directly from the machine.

Officials said that the machine could dispense up to 25 kg of grain in roughly 35 seconds.

Shah underscored the local manufacturing aspect of the ATM hardware. "The ATM is made in Gujarat," he said, linking the launch to the State's broader push for technology-led governance solutions.

The subject matter is TMB which was started for the welfare of the Nadar community but which is today controlled by an illegal group of Foreign & NRI investors.

The TMB was started in 1921 as the Nadar Bank meant for the welfare of the Nadar community. In between it was renamed as the Tamilnadu Mercantile Bank (TMB) in 1962.

In 1996 the ESSAR group bought 67% of the shares and tried to take control of the bank but the transfer was not acknowledged by the RBI. The ESSAR group then sold the shares to Mr. C. Sivasankaran of the Sterling Group of Companies. This transfer was also not acknowledged by the RBI.

During this time the Nadar Community formed a Trust in the name of Nadar Mahajana Bank Share Investors Forum (Forum) in the year 1997 and elected late Thiru. B. Ramachandran Adityan to lead this Forum.

The Forum decided to retrieve the 67% shares from Thiru. C. Sivasankaran back to the Nadar Community. After a severe collection drive the Forum collected Rs. 100 Crores. Then some dissatisfied Nadars took back the money and the Forum was finally left with Rs. 80 Crores. But this amount was enough to retrieve only 34% from Thiru. C. Sivasankaran. After the money stopped coming there was not any activity in the Forum after 2003.

In 2007 the F & NRI investors identified by Thiru. B. Ramachandran Adityan and Thiru. MGM. Maran for the sale of the remaining 33% shares under an MOU that they should come only as investors in the TMB. But due to a split in the Nadar community a Nadar group joined with the F & NRI investors to let them compete in the elections to the Board of Directors (BOD). And in the elections in 2008 the F & NRI investors with their 24% shares (the remaining 9% was bought by some Nadars) contested with a group of Nadars and took control of the BOD.

It was only later we came to know that the transfer of shares to these F & NRI investors were not acknowledged by the RBI and hence they have no voting rights for the shares held in their name. But somehow this illegal F & NRI group have got permission to vote on several occasions as one time measure from the RBI in spite of the shares transferred in their name not having been acknowledged by the RBI itself. Today they are still in control of the BOD in TMB with their 24% shares.

On the basis of information forwarded by RBI investigations were made by the ED, and imposed penalties of Rs. 16 crores on the TMB for transfer of shares to the F & NRI investors and Rs. 100 crores

**Sd/-  
(T.Thangamuthu)  
President  
Chennai Vazh Nadar  
Sangam, Chennai.**



# SEBI starts review of non-agri derivatives

**KEY POINTS.** Working group to mull easing of position limits, proposes to mandate one Product Advisory Committee meeting annually

**Akshata Gorde**  
Mumbai

The working group constituted by the Securities and Exchange Board of India (SEBI) on ease of doing business in non-agricultural commodity derivatives segment held its first meeting last week, taking up a review of position limits and the frequency of Product Advisory Committee (PAC) meetings at exchanges.

The group includes members from the Commodity & Capital Participants Association of India, exchange and SEBI officials, said persons present at the meeting.

“The existing limits were put back in 2016, and since then the market has grown in volume, pricing and investor interest. Increasing the limits will help deepen the non-



**REFORM TALKS.** A working group constituted by SEBI on the ease of doing business in the non-agricultural commodity derivatives segment held its first meeting last week on Thursday

agri commodity market further, but many factors need to be considered,” one of the persons said.

In December last, Chairman Tuhin Kanta Pandey said SEBI would set up a working group to examine

operational and regulatory issues in commodity derivatives and suggest measures to deepen the market and ease compliance requirements.

**POSITION LIMITS**  
The first agenda item is to re-

view and ease position limits, which are caps on the number of contracts that a client or trading member can hold in a commodity derivative.

Currently for any non-agricultural commodity, a client’s open position, long and short netted across all contracts in that commodity cannot exceed the numerical position limit specified by SEBI in its table or 5 per cent of the total market-wide open interest (MWOI) in that commodity, whichever is higher.

For trading members and brokers, the open position limit is the higher of 10 times the numerical client position limit or 20 per cent of the market-wide open interest in that commodity.

If the market is deeper and has larger open interest, the 5 per cent of MWOI rule may give a larger limit than the

related matters, are required to meet at least twice a year for commodity groups.

At last week’s meeting, members discussed a proposal to mandate one PAC meeting annually, while allowing exchanges to convene additional meetings, if required. The idea is to provide flexibility without diluting oversight, said another source.

The deliberations are expected to particularly benefit the Multi Commodity Exchange of India (MCX), which accounts for the bulk of trading in non-agricultural commodity derivatives, such as metals and energy.

The MCX will be making a detailed presentation at the meeting next week to assist discussions on increasing the position limits. Emailed queries sent to SEBI did not elicit a response.

## TODAY’S PICK.

**Lodha Developers (₹1,073.75): BUY**

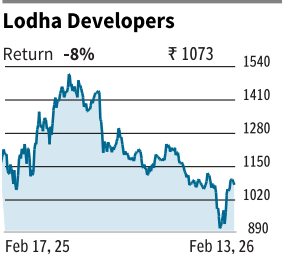
**Akhil Nallamuthu**  
bl. research bureau

The stock of Lodha Developers saw a decline in price between June last year and mid-January this year. But since then, it has been on a recovery.

It recently formed a morning star candlestick pattern on the weekly chart, indicating a potential bullish reversal in the trend.

In recent days, the stock has also broken out of a trendline resistance, and the price is now above both the 21- and 50-day moving averages.

These factors point to a possible rally in the near term. We expect the stock to hit ₹1,240. So participants can buy



now at ₹1,073 and accumulate at ₹1,055. Place the initial stop-loss at ₹1,015. When the price touches ₹1,150, alter the stop-loss to ₹1,090. Raise the stop-loss further to ₹1,170 when the stock reaches ₹1,200. Exit at ₹1,240.

Note: The recommendations are based on technical analysis. There is a risk of loss in trading.

## India adds record 52,537 MW power capacity in FY26



**GRID STRENGTH.** As of January 2026, the total installed power generation capacity stood at 5,20,510.95 MW (STOCKPHOTO)

**Our Bureau**  
New Delhi

India added more than 52,000 megawatt (MW) of power capacity in the first 10 months of the current financial year, an all-time high.

During FY26 (up to January 31, 2026), a record 52,537 MW of generation capacity (from all sources) had been added, the Power Ministry said on Sunday.

**RENEWABLE ENERGY**  
Of this, 39,657 MW was added from renewable energy sources, which includes 34,955 MW of solar and 4,613 MW of wind power. India also added 8,810 MW of thermal power capacity during the same period.

“This marks the highest ever capacity addition in a single year, surpassing the previous record of 34,054 MW achieved during FY25,” the Power Ministry added.

Further, this also implies that during FY26 (up to January), there was an addition of more than 11 per cent to the total installed capacity of the country, the Ministry said.

As of January 2026, India’s

total installed power generation capacity stands at 5,20,510.95 MW, comprising fossil fuel-based capacity (2,48,541.62 MW), non-fossil fuel capacity (2,71,969.33 MW), nuclear (8,780 MW) and renewable energy sources (263,189.33 MW).

During 2025, a total of 48,436 MW renewable energy capacity was added. This includes 37,945 MW of solar power and 6,347 MW of wind power.

There is adequate availability of power in the country. The gap between ‘energy supplied’ and ‘energy requirement’ has declined from 0.5 per cent during FY23 to ‘nil’ during the current year. Similarly, the peak demand not met has declined from 4 per cent during FY23 to almost “nil” during the current year.

India also achieved a landmark in its energy transition journey by reaching 50 per cent of its installed electricity capacity from non-fossil fuel sources in June 2025 — more than five years ahead of the target set under its Nationally Determined Contributions (NDCs) to the Paris Agreement.

# Full replacement of Russian crude appears infeasible in near term: Moody’s Analytics

**Rishi Ranjan Kala**  
New Delhi

Moody’s Analytics has emphasised that turning away from Russian oil will push up domestic energy prices. However, an immediate halt of the geopolitically-sensitive commodity by New Delhi “appears infeasible” in the near term.

In a commentary on Sunday, the financial intelligence provider pointed out that while the interim trade agreement goes some way to alleviate stress on Indian exports, there are plenty of unknowns.

It also stressed that the lack of details of the interim trade deal means that the US-India relationship is far from repaired.

India has agreed to phase out its imports of Russian crude oil and replace them with US and Venezuelan crude, according to US officials. Indian officials have not confirmed that statement, but major refineries have reduced purchases of Russian crude in recent months, it added.

**PRICEY SHIFT**  
India imports more than 30 per cent of its domestic en-



**India imports more than 30 per cent of its domestic energy needs from Russia**

ergy needs from Russia, so a pivot away from Russian crude will be pricey, Moody’s Analytics pointed out.

Crude grade differences could force many Indian refineries, optimised for Russian blends, to bear higher processing costs. Also, the EU’s latest price cap of \$44.1 per barrel on Russian crude means that Urals crude will remain cheaper than the US or Venezuelan supplies, it added.

“A shift will prompt higher domestic energy costs. That will feed through to do-

mestic fuel prices but also to the fiscal balance, given India’s extensive fuel subsidies. While some substitution is possible, full replacement of Russian crude appears infeasible in the near term,” it stressed.

**FAR FROM REPAIRED**  
The deal with the US comes as India looks to forge other relationships amid the volatile trade environment. In the wake of the recently signed trade pact with the EU, Modi has been embarking on a tour around Southeast Asia, affirming ties with key countries in the region.

“The US deal appears to plaster over their recent breakdown in relations, but the lack of details means that the US-India relationship is far from repaired,” Moody’s said.

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**INFORMATION REGARDING OPENING OF A SPECIAL WINDOW**  
Pursuant to the Securities and Exchange Board of India (“SEBI”) Circular No. HO/38/13/11(2)2026-MIRSD-POD/I/3750/2026 dated January 30, 2026, we bring to your notice that another special window has been opened for a period of one year from February 05, 2026 till February 04, 2027 (“special window period”) to facilitate transfer and dematerialization of physical shares which were sold / purchased prior to April 01, 2019. The special window shall be available for (i) re-lodgement of transfer requests which were submitted prior to April 01, 2019 and were rejected/ returned/not attended to due to deficiency in the documents/ process/or otherwise and (ii) fresh lodgement of transfer requests which were not submitted prior to April 01, 2019, provided that the original share certificate is available.

The shares transferred during this special window period shall be mandatorily credited to the transferee only in demat mode and shall be under lock-in for a period of one year from the date of registration of transfer. Such shares shall not be transferred/ lien-marked/pledged during the said lock-in period. Due process as prescribed under the said Circular shall be followed for such requests. Further, (i) cases involving disputes between transferor and transferee (to be settled through court/NCLT process), (ii) shares which have been transferred to Investor Education and Protection Fund (IEPF) and (iii) re-lodgement / fresh lodgement of transfer requests executed prior to April 01, 2019 where original share certificate is not available, will not be considered during this special window period.

Eligible investors are requested to avail this opportunity by submitting the transfer requests along with all the requisite documents as mentioned in SEBI Circular No. HO/38/13/11(2)2026-MIRSD-POD/ I/3750/2026 dated January 30, 2026 to MUFG Intime India Pvt Ltd (formerly “Link Intime India Private Limited”), the Registrar and Share Transfer Agent (RTA) of the Company within the above stipulated time, whose details are as follows: Postal Address: Surya, 35, Mayflower Avenue, Behind Senthil Nagar, Sowripalayam Road, Coimbatore – 641 028, Tamil Nadu, India Contact: +91 422 231 4792, 253 9835, 253 9836 Email: Investor.helpdesk@in.mpmis.mufg.com

#### UPDATE KYC AND CONVERT PHYSICAL SHARES INTO DEMAT MODE

The shareholders, who hold shares in physical form are requested to update their KYC, Bank account details and contact information and are also requested to convert their physical shares into dematerialized form. The shareholders, who are holding shares in demat form, are requested to ensure that their email addresses / KYC are updated with the Company / RTA / their respective depository participants.

By order of the Board  
For Kovilpatti Lakshmi Roller Flour Mills Limited  
**S.Piramuthu**  
Company Secretary and Compliance Officer  
Membership No. FCS 9142  
Date : 13.02.2026  
Place : Gangaikondan







## Small town heft

How Tier-3, Tier-4 cities are powering growth

### BOOK REVIEW.

Giraj Sharma

The book *The Power of Tier-III and Tier-IV Cities of India: Gateway to a \$10 Trillion Economy* shines a light on the often overlooked economic dynamism of India's smaller towns and semi-urban centres. The book convincingly shows how these centres are shedding tags such as 'peripheral' or 'modest' or even 'back of nowhere' and emerging as powerful engines of growth. Driven by rising aspirations, expanding digital connectivity, better infrastructure, and a surge in entrepreneurial activity — these towns are now co-riders in this journey of the Indian economy.

Affordable smartphones, low-cost data and widespread 4G connectivity have dissolved the tyranny of distance. Small manufacturers, traders, artisans and service providers in Tier-3 and Tier-4 towns can now access national marketplaces through platforms such as e-commerce portals, social commerce and WhatsApp-led selling.

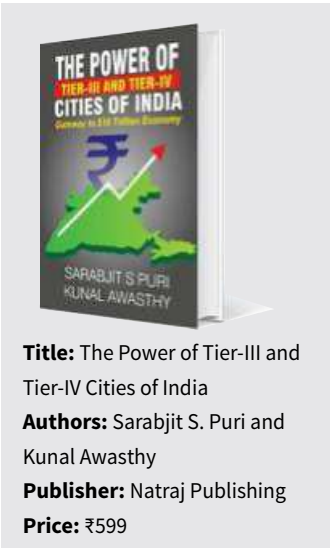
#### MAKING CONNECTIONS

A kirana owner or a handicraft producer is no longer limited to the local bazaar; demand can be discovered, created and serviced well beyond district boundaries. This has expanded addressable markets without a proportional rise in physical infrastructure costs. In essence, digital infrastructure has not merely connected smaller towns to the Internet — it has connected them to opportunity.

The economic impact lies in inclusion, optionality and aspiration, allowing these towns to participate in India's growth story not as peripheral markets, but as active contributors shaping demand, talent and enterprise from the ground up.

The authors highlight how streaming, social media and vernacular digital content have influenced tastes in fashion, food, education and lifestyle products. This has led to higher demand for branded goods, better services and organised retail — even in towns previously dominated by unbranded or loose products. Importantly, demand is now informed and comparison-led, forcing local businesses to upgrade quality and service standards.

Divided into four sections, the first one deals with enhancing the



**Title:** The Power of Tier-III and Tier-IV Cities of India  
**Authors:** Sarabjit S. Puri and Kunal Awasthy  
**Publisher:** Natraj Publishing  
**Price:** ₹599

overall understanding of the Tier-3 and Tier-4 towns — the demography, the improving infrastructure and the cost advantage of operations here. The second part is about computing the strengths of these towns — and the authors estimate that most of the 7,935 towns in the country are Tier-3 or Tier-4 towns! The third part of the book deals with the opportunities for segments such as BFSI, FMCG, health and pharma, retail and automobiles, besides the usual suspects — agri and allied industry. The last part deals with the digital consumption patterns of these towns.

While the book scatters data all through the text — a more impactful presentation would have been in the form of charts and tables. And even as it gives credit to various government schemes, had these claims been backed up with data points, the reader would have bought into the story even more. The section on opportunities would have been far more impactful had the authors done the sizing of it. Claims such as “Hydrogen energy holds the power to transform rural India” or “As technology improves and costs fall further, solar energy will move from an alternative source to a primary one” needed backing up with some data.

This is not to take away any credit for the extensive coverage of issues and the forcefulness of the argument made in favour of smaller cities and towns of the country. The book also provides a segmentation framework for field activation tactics. The writing has a flow and is free of jargon, and the structure moves logically from diagnosis to opportunity.

The reviewer runs Behind The Moon, a boutique consultancy in the sales and marketing domain

# Charting China's industrial rise

The author traces the journey of China's manufacturing dominance, without glossing over its inadequacies and faultlines

### BOOK REVIEW.

Uday Balakrishnan

Dan Wang, a Chinese-American China specialist, brings to *Breakneck: China's Quest to Engineer the Future* a depth of lived experience rare among contemporary analysts. Having spent years in China as a technology analyst and travelled extensively across its showcase cities and industrial hinterlands, Wang writes with authority grounded as much in observation as in data.

The book is more analytically ambitious than Yukon Huang's *Cracking the China Comundrum* (2017) and complements Ananth Krishnan's *India's China Challenge*. Where Krishnan excels as an India-focused reporter-analyst, Wang operates as a systems thinker, probing how industrial capability, state capacity, and engineering culture intersect.

At the heart of the book lies a stark assertion: China's ascent as the world's leading manufacturing power has paralleled the weakening of America's industrial base. By outsourcing production while retaining design and branding, the West gradually surrendered its manufacturing capabilities. This enabled China to build depth in scale, tooling, dense supplier networks, and the accumulated process knowledge that eventually spills over into design and innovation.

#### CHINA'S DOMINANCE

The result is China's dominance across an extraordinary range of world-beating products, from electronics and renewable energy to electric vehicles and ships.

Wang traces how America's manufacturing ecosystem hollowed out, leaving behind Rust Belt decline and social dislocation. Few comparisons are as revealing as infrastructure. He contrasts China's Beijing-Shanghai high-speed rail line, completed in 2011 for about \$36 billion, with California's high-speed rail project, which, after 17 years and projected costs exceeding \$120 billion, has delivered only a limited Central Valley stretch.

Wang amplifies a now widely held belief that the United States is unlikely to regain industrial primacy. Manufacturing today accounts for roughly 13 per cent of US GDP, compared with about 21 per cent in Germany and close to 30 per cent in China. He is sharply critical of America's “lawyerly society,” where litigation and procedural vetoes delay or derail large projects.

By contrast, China's leadership, including Xi Jinping, is largely composed of engineers by training, fostering a technocratic mindset inclined to treat society as an aggregate system rather than as a collection of thinking individuals. There is a hint that Wang judges China as marginally better placed than the US to overcome its own distortions, despite the authoritarian excesses of its system.

Yet Wang's argument also invites qualification. A useful corrective was offered by JPMorgan Chase CEO Jamie Dimon in a recent World Economic Forum discussion at Davos. China, he noted, remains a roughly \$15,000 per capita economy, compared with America's \$85,000, and lacks anything comparable to the United States' dense web of military alliances and economic partnerships. The point does not so much undermine Wang's thesis as refine it: industrial dominance is necessary, but not sufficient, for global leadership.



**Title:** Breakneck: China's Quest to Engineer the Future  
**Author:** Dan Wang  
**Publisher:** Allen Lane (Penguin)  
**Price:** ₹1,499

#### ABOUT THE AUTHOR

Dan Wang is a research fellow at the Hoover History Lab at Stanford University

#### CHINA'S PROBLEMS

Importantly, Wang's book is not China-boosterism. It addresses hidden poverty, heavy local-government indebtedness, wasteful vanity projects, and the demographic damage inflicted by the one-child policy. He vividly captures the punishing regimentation of factory life and the disastrous Covid

lockdowns that exposed the system's capacity for self-inflicted harm. His account of rural deprivation echoes findings in Scott Rozelle's *Invisible China: How the Urban-Rural Divide Threatens China's Rise* (2020).

For Indian readers, the implications are unavoidable. In the first 20 years of independence, India undertook major industrial and engineering projects — steel plants, fertilizer units, heavy engineering complexes, big dams, and other emblematic ventures of the Nehruvian industrial push — that built indigenous technological capability. Public sector enterprises such as HMT earned global respect for quality, and engineering graduates entered manufacturing rather than immediately diverting into management careers.

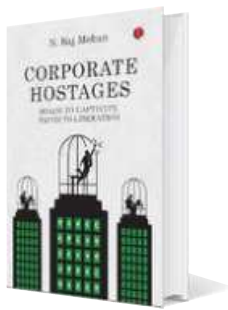
That trajectory later broke. The fire that crippled Semiconductor Complex Ltd. (SCL) in Mohali in 1989 came to symbolise a deeper institutional failure: India never seriously rebuilt the technological capability it had begun to create. China, by contrast, repurposed comparable institutions into global champions of innovation and manufacturing.

#### LESSONS FOR INDIA

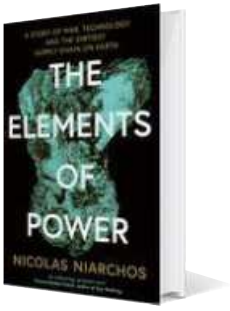
Today, India's manufacturing share of GDP at about 16-17 per cent is only marginally higher than America's, leaving it with rust belts and a depleted engineering depth that cannot be easily rebuilt. Wang's book should therefore be read by Indian policymakers. With a demographic window still open, India's challenge is not merely to attract factories, but to restore the engineering culture and institutional depth that once underpinned its industrial ambitions.

The reviewer is a columnist exploring the intersections of state, society, and history, and has taught public policy and contemporary history at IISc, Bengaluru

### NEW READS.



**Title:** Corporate Hostages  
**Author:** Dr. N. Raj Mohan  
**Publisher:** Rupa Publications India  
**The book unpacks** the complex realities of modern work life, where professionals constantly navigate personal desires and professional demands



**Title:** The Elements of Power  
**Author:** Nicolas Niarchos  
**Publisher:** William Collins  
**This book tells** the story of the war for the global supply of battery metals and the terrible human cost of this misunderstood industry



**Title:** Fight Less, Win More  
**Authors:** Jonathan B. Smith, Derek Gaunt  
**Publisher:** Cornerstone Press  
**A handbook** for applying Tactical Empathy — the ability to understand and influence people — to every conversation

## thehindubusinessline.

### TWENTY YEARS AGO TODAY.

February 16, 2006

#### 14 cos bid for container services

With industry heavyweights such as Reliance Infrastructure, Central Warehousing Corporation (CWC), Adani Logistics and some prominent multinationals taking the plunge, the rail container operations space is hotting up in the country. So far, only Concor was allowed to operate in the sector. Fourteen companies have put in their applications with the Indian Railways to offer services with registration fee totalling Rs 540 crore.

#### DoT permits cell operators to offer Internet services

The Department of Telecom has allowed mobile operators to provide Internet services, including the lucrative Internet Protocol (IP) based Virtual Private Network (IP-VPN), without any additional fee. The services until now were being offered by Internet Service Providers such as Sify and also long distance service providers such as BSNL and Bharti Tele-ventures.

#### MRPL board recommends Rs 12,800 cr investment plan

The Mangalore Refinery and Petrochemicals Ltd (MRPL) board that met here on Wednesday has recommended to Oil and Natural Gas Corporation a capital expenditure plan of Rs 12,800 crore for its integrated refinery upgrade project.

#### Short take

## Microfinance trades speed for stability

Ashish Mehrotra

Over the past decade, India has transformed from a largely bank-led credit system to a vibrant, multi-channel ecosystem. The micro-lending sector stepped in to address the aspirations of the bottom of the pyramid. However, the latest Sa-Dhan Quarterly Microfinance Report 2025 indicates that this journey has reached a critical juncture.

The current slowdown follows an aggressive expansion between 2021 and 2023. Credit penetration and rising ticket sizes outpaced rural income growth, leading to borrower overleveraging and portfolio stress.

The sector is now in deliberate contraction, with the gross loan portfolio at ₹3 lakh crore, down 15.5 per cent year-on-year and 3.11 per cent quarter-on-quarter from the ₹4 lakh crore peak in September 2024. This reflects institutional prudence, as liquidity constraints and lower disbursements drive recalibration.

Today, stricter underwriting and a focus on debt sustainability have effectively reduced the number of lenders per borrower to around 1.5 loans. The narrowing gap between the 117.4 million total loan accounts and the 73.8 million unique borrowers reinforces this shift.

However, portfolio performance has deteriorated across delinquency buckets

over the past 12 months. The most notable stress is visible in the PAR 180+ days past due, which has surged from 7.64 per cent a year ago to 15.27 per cent, indicating that a significant portion of the older portfolio has hardened into long-term delinquency.

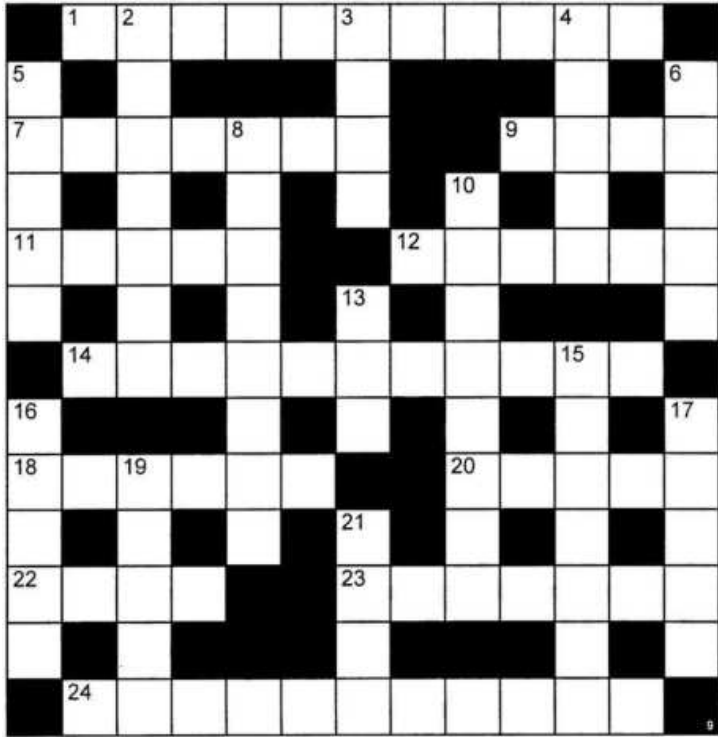
Many lenders have proactively strengthened their credit underwriting parameters to enhance portfolio resilience amid evolving market conditions. Complementing these efforts, the government's launch of the Credit Guarantee Fund for Micro Units (CGFMU) scheme has provided additional risk mitigation by offering credit guarantees to lenders extending loans to micro units, thereby improving credit access while containing downside

risk. Further supporting the sector, the RBI's decision to increase the non-MFI lending limit to 40 per cent has enabled institutions to diversify their portfolios beyond traditional microfinance.

In 2026, the microfinance sector is expected to emerge from this 'great recalibration' leaner and more resilient. The first half of 2026 is likely to be characterized by continued consolidation as institutions finish purging legacy 'bad' debt and fully align their operations with the MFIN guardrails. We expect the industry to find its floor in terms of portfolio contraction by the second quarter of 2026, followed by a gradual, quality-led expansion.

The writer is MD & CEO, Northern Arc Capital

### BL TWO-WAY CROSSWORD 2617



#### EASY

##### ACROSS

1. Branched candlestick (11)
7. A prior screening (7)
9. Poled river-craft (4)
11. Press into folds; curl hair (5)
12. Seasoned and cured herring (6)
14. Of the art of making fireworks (11)
18. Material used for kindling fire (6)
20. Young eel (5)
22. Correct homework (4)
23. Free one from blame (7)
24. Seat of Parliament (11)

##### DOWN

2. A facility; pleasantness of situation etc (7)
3. Stretch of tended grass (4)
4. Take possession of by force (5)
5. Piquant, pungent (5)
6. Violent weather (5)
8. Worker in part learner (8)
10. State of being wealthy (8)
13. Small in number (3)
15. To implicate, comprehend (7)
16. Bring foot down noisily (5)
17. Move very gradually (5)
19. Nanny (5)
21. Hindu woman's garment (4)

#### NOT SO EASY

##### ACROSS

01. Branched lamp man with blue card can supply (11)
07. Early showing for VIP we reorganised (7)
09. In Ireland it's a pound for a boat (4)
11. Use curling-tongs with credit on one person at 24 (5)
12. Cured fish for the captain (not a starter) (6)
14. Chic poetry North produced about fireworks (11)
18. Inflammable material in can turns red (6)
20. Little fish always available around start of lunch (5)
22. The stigma of being an Evangelist (4)
23. Naval ratings love change - pardon? (7)
24. The British Parliament in terms newt is responsible for (11)

##### DOWN

02. A facility that gives me a tiny adjustment (7)
03. Area of grass tended to look like fine linen (4)
04. Endlessly pursue it like this and unjustly take possession (5)
05. It is highly flavoured and somewhat risqué (5)
06. Bad weather in August or March (5)
08. River Pom diverts - but he'll make it better (8)
10. Wealth shown by credit note shires produce (8)
13. Not many watts, the iron takes (3)
15. Get one mixed up in love perhaps when about five (7)
16. Put foot down hard to prepare it for posting (5)
17. Move very slowly like a person who cringes (5)
19. Look after one making runs at Edgbaston initially (5)
21. Has a right to hold an Indian garment (4)

### SOLUTION: BL TWO-WAY CROSSWORD 2616

**ACROSS** 1. Comfort 5. Patch 8. Lined up 9. Exist 10. Antipasto 12. Dye 13. Erase 17. Lap 19. Companion 21. Sauce 22. Narrate 24. Treat 25. Enjoyed

**DOWN** 1. Cellar 2. Monitor 3. Old 4. Tapes 5. Phenomena 6. Third 7. Hatred 11. Prescient 14. Privacy 15. Closet 16. Indeed 18. Pause 20. Manse 23. Raj



NEWS SNIPPETS.

NLC to add 650 MW of solar power capacity this year

Public sector power-cum-mining company NLC India will add 650 MW of solar capacity in the current year. This will take its total RE



capacity (mostly solar) past the 2-GW mark by March, the company's Chairman and Managing Director, Prasanna Kumar Motupalli, told

businessline recently.

NLC India, the first PSU to hit the 1-GW mark in RE capacity, puts up RE projects through its IPO-bound subsidiary NLC India Renewables Ltd (NRL).

NRL expects to have 10 GW of RE capacity under its belt by 2030.

The 650 MW that NRL will add to its portfolio this year comprises the recently commissioned 300 MW at Barsingsar, Rajasthan; 300 MW to be commissioned by March at Khavda, Gujarat (part of a 600 MW solar plant that will supply power to Gujarat Urja Vikas Nigam Ltd); and 50 MW at Neyveli on reclaimed mine land (a first on this scale in the country). The first two projects were won at tariffs of ₹2.52 and ₹2.7 a kWhr, respectively.

NRL has taken the joint venture route to achieve its 2030 target of 10 GW. It has signed JV agreements with various State governments — Rajasthan (2 GW), Assam (1 GW) and Maharashtra (3 GW). It is in the process of forming one more with Odisha. A big advantage in this approach is the support of the local governments, especially in the procurement of land, Motupalli said.

Powercon's energy studio

Powercon's 'energy studio' at its Pune headquarters monitors 40 GW of wind and solar farms in 23 countries, including 2.5 GW



in India. The studio is a "technical detective", says Praveen Kakulte, Founder and CEO, Powercon, for it checks the performance of every component

of every machine it is connected to in a bid to secure early alerts for any possible failures. Italian power major Enel is Powercon's biggest customer; Enel has entrusted the monitoring of 27 GW of its assets to Powercon.

300 MW merchant plant

Last year, Powercon made news when Denmark-based Copenhagen Infrastructure Partners gave it the full charge of its



upcoming 300 MW wind farm in Karnataka, a first order of its kind in India. Powercon would put up the plant and operate it for CIP, promising a certain quantum of

generation. A third of the capacity has come up — with Envision's 3.3 MW turbines — and the rest will be completed in six months, Praveen Kakulte, Founder and CEO, Powercon, said.

The most remarkable feature about the wind farm is that it is a merchant power plant — there is no power purchase agreement since all the power will be sold on the exchanges in the day-ahead market.

Kakulte said selling on the exchanges pays better. Asked if CIP, which has large plans for India, would put up its future projects, too, on merchant basis, Kakulte said he could not speak for CIP. He, however, did say, "I'm sure they would want to go in for this type of market", as the returns are better.

CARBON REMOVAL

CCUS: A timely solution, but at a price

**ZERO GOAL.** The Budget is backing carbon capture, utilisation and storage projects, but there are cheaper alternatives

M Ramesh

Budget 2026 has allocated ₹20,000 crore to support carbon capture, utilisation and storage (CCUS) projects over the next five years — effectively centre-staging the technology.

There is little doubt that CCUS works. The idea is incredibly simple: Capture carbon dioxide from stationary sources such as thermal power plants and cement factories, use whatever you can (to manufacture concrete, aerated drinks or bio-ethanol), and bury the rest — permanently — in underground traps such as depleted oil and gas reservoirs or abandoned mines.

The problem is not with technology, but the costs.

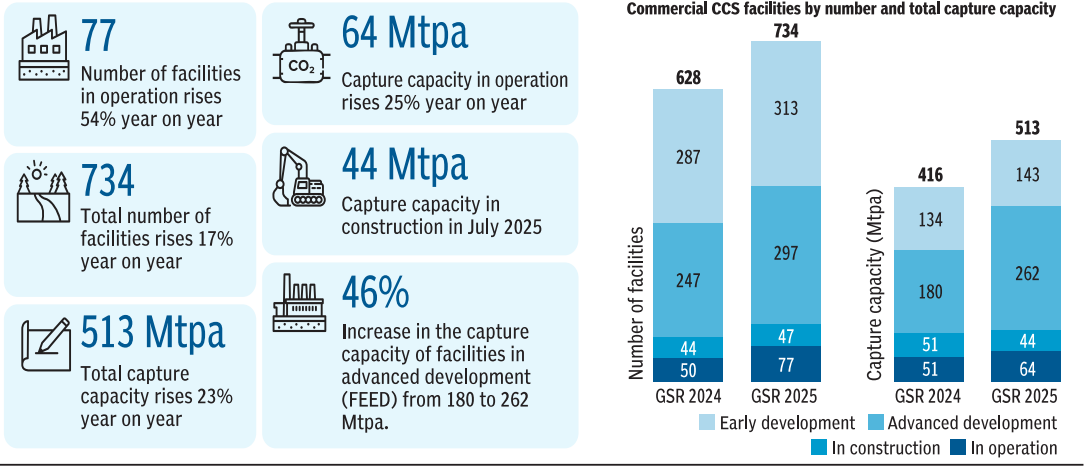
CCUS, in fact, refers to a suite of carbon-capture technologies — absorption using chemical solvents; adsorption using carbon dioxide "grab-and-hold" solids such as zeolites; separation using membranes; looping processes using calcium compounds, and more. Absorption remains the most widely used. The captured carbon is then transported for utilisation or burial.

Regardless of the technology deployed, CCUS imposes a penalty — it is, after all, an additional layer of expenditure.

The argument against CCUS is that it can, at best, be a marginal solution, given the high costs.

Why invest in CCUS, critics ask, when equivalent carbon reduction can be achieved more cheaply by purchasing carbon credits that fund emission-reduction projects elsewhere?

Key milestones in global adoption of carbon capture and storage facilities



The argument in favour is straightforward: Climate change is a colossal threat that must be fought with every available weapon, marginal or not. As for costs, proponents point out that scale and technological improvement will bring them down.

The biggest criticism against CCUS is its small scale.

The Global CCS Institute, citing the London Register of Sub-surface CO<sub>2</sub> Storage, notes that about 380 million tonnes of carbon dioxide have been stored underground globally since 1996.

The institute estimates capture capacity could increase five-fold by 2030 — to 337 million tonnes per annum (mtpa) from 64 mtpa today — at a CAGR of about 40 per cent.

Together with the announced projects beyond 2030, the capacity in the pipeline is 513 mtpa.

While significant, it remains well short of the required deployment to meet climate agreements,

and additional capacity expansion must be brought online," the institute says in its Global Status of CCS 2025 report, released last October.

ON THE OTHER HAND

Though CCUS (or CCS, since the 'U' component is barely 10 per cent) has existed for decades, proponents argue it is gathering momentum only now. Give it time to mature and scale up, they say, and it will deliver.

Indeed, new technologies are emerging to rival solvent-based absorption. Mineralisation is one such alternative.

The process is simple: dissolve carbon dioxide in water to form a weak acid; inject this water into rocks — preferably basaltic formations. Elements such as calcium, magnesium and iron react with the carbon to form solid carbonates — essentially stone — that remain locked underground.

Companies working on mineral-

isation say the conversion may take about two years, but the carbon remains immobilised permanently.

THE INDIAN SCENE

The government has effectively cast the die in favour of CCUS — though the distribution of the ₹20,000 crore allocation remains unclear.

The decision is pragmatic: the country has little option but to rely on coal-based power for some years more — around 80 GW of coal capacity is planned. CCUS is, therefore, seen as the principal pathway to neutralising emissions, even if it raises power cost.

Bengaluru-based Nauvata Energy Transition Enterprise, which provides engineering and project management services, largely to the oil and gas sector, is active in the CCUS consultancy space.

It is assisting HPCL in setting up a pilot CCUS project at Visakhapatnam. Its CEO, Baroruchi Mishra,

VIEW FROM THE ROOF

How PM Surya Ghar scheme has fared over two years

K Bharat Kumar

This month, the rooftop solar scheme under the PM-Surya Ghar: Muft Bijli Yojana is marking the second anniversary of its launch.

The scheme targeted covering at least one crore households with an outlay of ₹75,021 crore. Consumers get up to 300 units of free electricity monthly and subsidies of up to ₹78,000 for 3 kW systems. A review of the scheme's performance reveals both healthy growth and a few execution bottlenecks.

First off, the transition has been swift. According to Shreya Mishra, CEO and Co-founder of Solar Square, the market has grown from about 8,000 monthly residential solar installations in 2021 to about 2 lakh units last month. The company has made 40,000 installations and manages them too.

Mishra points out that a single national web portal for consumer permits and the integration of distribution services for every State has helped quicken adoption.

Additionally, the move to make net metering a legal right in 2020 has helped consumers feed surplus power back to the grid at no extra cost or opportunity loss, she says. Earlier, in some States, the units feeding the State's grid from rooftop installations yielded revenue lower than the cost of the same quantity of power drawn from the grid. That was seen as unfair to consumers.

UNEVEN PROGRESS

However, sector-wide adoption could have been faster in the absence of bottlenecks.

According to a December report by the Institute for Energy Economics and Financial Analysis (IEEFA), only 22.7 per cent of applications translated into installations, indicating hurdles in the areas of financing, vendor ca-



ISTOCK

capacity and approvals.

The report shows that progress has been uneven across States. Gujarat leads with installed capacity of 1,491 megawatt (MW), followed by Maharashtra, Uttar Pradesh, Kerala and Rajasthan. The five States together account for nearly three-fourths of the total capacity installed under the scheme.

According to data discussed recently in the Rajya Sabha, installations country-wide have crossed the 26-lakh mark, with close to

₹15,000 crore released from the allocated amount. The road to the targeted one crore solar homes by the end of financial year 2027 remains long, says IEEFA.

FINANCING NEEDS

Upfront cost is still a challenge for consumers. While bank financing for installations is cheaper than personal loans, the process is cumbersome. Asked if the companies could ally with financial institutions to facilitate loan approvals at the customer's doorstep, Mishra

says, "Solar Square does have tie-ups with banks for financing but commercial banks still mandate a branch visit as the process is yet to be digitised." While non-banking finance firms offer 20-minute approvals via a digital process, the interest rates are higher.

LOCAL MANUFACTURE

To qualify for the subsidy, the solar panels and the cell in them must be made in India. Says Mishra, "This helps reduce dependence on Chinese parts." But won't cheaper Chinese panels offset the government subsidy offered for the highest kilowatt category? "No, the subsidy is greater than the cost differential for an imported panel," says Mishra.

Despite the challenges, Mishra strikes an optimistic note as demand for electricity grows on par with economic growth.

The next step needed in the rooftop solar journey would be battery storage,

though the technology is yet to mature for residential storage. According to a recent NITI Aayog report, "India's power sector transition is ... fundamentally capital-intensive. Cumulative investment requirements reach approximately \$8.79 trillion in current policy scenario and \$14.23 trillion in net-zero scenario by 2070." So, as rooftop solar picks up pace, homes and factories will feed the grid during the day, and draw at night. Mishra says this grid load would be unsustainable over time.

So subsidies for residential battery storage would help avoid destabilising the grid, according to Mishra.

She says the market is rich with potential. "In Australia, 40 per cent homes have solar, the US has 8 per cent penetration and Germany has 12 per cent. Considering India has only about 30 lakh homes with rooftop solar, it's just 1 per cent out of a potential 26 crore homes."

Why rigid control of power grid frequency should be a thing of the past

Moderate and planned deviations from nominal frequency can promote grid reliability, affordability and clean energy goals

K Balaraman  
HP Khinchina

For decades, electricity regulators have treated tight control of grid frequency as a basic sign of power system security. If the frequency stayed close to the nominal value, the system was considered safe. But this belief did not stem from laws of physics. Instead, it grew out of the historical and social needs that shaped early power systems — and many of those needs no longer exist.

In the 20th century, grid frequency played an important role beyond balancing electricity supply and demand. Millions of homes and public buildings relied on electric clocks that kept time using grid frequency. At the same time, factories and farms mainly used motors whose speed depended directly on frequency. Even small deviations could affect production, pumping and daily routines. Maintaining accurate frequency thus became part of an unwritten social contract between utilities and con-

sumers, and regulators embedded strict frequency limits in grid rules.

Today, that world has changed. Digital clocks no longer depend on grid frequency, and most industrial equipment use power-electronic drives that are largely immune to small frequency changes. Advanced monitoring and control systems give operators real-time visibility of grid conditions. Yet, many regulations still reflect old assumptions and demand extremely tight frequency control even though its original purpose has faded.

Experience from power systems shows that wider frequency operation does not automatically mean insecurity. A striking example comes from India in the 1990s when chronic electricity shortages meant the grid often operated well below today's normal frequency range, sometimes around 48 Hz. Despite this, the system did not collapse. Electricity supply continued, and widespread blackouts were largely avoided.

Lower frequency acted as a natural signal of scarcity. Many



IN CONTROL. Advanced monitoring systems give operators real-time visibility of grid conditions ISTOCK

non-essential loads, such as agricultural pumps and motor-driven equipment, automatically reduced consumption as frequency dropped. Essential services remained supplied, while overall demand adjusted without the need for widespread disconnections. Instead of concentrating hardship through rolling blackouts, scarcity was spread more evenly across users. The key lesson is not that such condi-

tions should be replicated today, but that frequency deviation itself is not the root cause of instability. Problems arise when protection and control systems are poorly coordinated.

MANAGEABLE VARIABLE

Modern power systems are fundamentally different from those in the past. A growing share of electricity comes from inverter-based resources, such as solar,

wind and batteries, which are not directly tied to grid frequency.

On the demand side, smart devices and digital controls allow consumption to be adjusted precisely. Operators have tools such as phasor measurement units and wide-area monitoring that allow them to detect disturbances early and respond quickly.

This opens the door to a new way of thinking about frequency. Rather than treating it as a rigid

quality requirement, frequency can be managed as a controllable variable. Allowing moderate and planned deviations from nominal frequency could be a conscious design choice, not loss of discipline. In such systems, frequency excursions are expected and managed through coordinated action by generators, storage and flexible demand.

Demand response plays a central role. Loads like water pumping, refrigeration, heating and cooling, and electric vehicle charging can be briefly adjusted with little impact on consumers. These actions are faster and less disruptive than emergency load shedding.

Modern protection systems can also be smarter, through indicators to show how fast frequency is changing, rather than fixed thresholds, to decide when intervention is necessary.

The economic impact of frequency policy is significant. Very tight frequency control requires large reserves, frequent cycling of power plants, heavy use of fast-response services and increased curtailment of renew-

able energy. These costs ultimately show up in consumer bills. Moderate frequency flexibility can reduce these costs, improve renewable energy use, and still maintain reliable service. From a consumer perspective, short and reversible adjustments to non-essential loads are far less disruptive than blackouts.

To make this shift possible, regulators need to act deliberately. Key steps include redefining normal frequency bands, recognising fast demand response as a valuable service, modernising protection standards, updating grid codes for renewables and storage, and running pilot projects before largescale rollout.

Tight frequency control made sense in the past, but it is no longer the only path to security. Modern technology allows frequency to be managed dynamically, supporting reliability, affordability and clean energy goals at the same time.

Dr Balaraman is a power industry expert and former Director General of the National Institute of Wind Energy; Prof Khinchina is a former Vice-Chancellor of VTU



# Tariff-driven exim: Access does not guarantee success

The door has opened, but we need a fundamental shift in our industry approach to make gains in the new era of ‘contained globalisation’



TRADE  
DEALS

There is celebration in India around the trade deals with the EU and the US. These are significant steps and full credit to the people responsible. The finer details are a work in progress.

What do these agreements mean for Indian companies?

The world trade (*see table*) is about \$24 trillion, accounting for 25 per cent of the world GDP. The top countries are in both lists — export and import. The top 10 countries account for 50 per cent of global imports and exports.

Access is the easy part, and access via tariffs is the new contained globalisation. We will see quick results in commodities both ways, but we will see slow progress in branded goods and services with real value. It will take a decade for us to gain from these trade agreements. Let's see how:

- India, the No 3 GDP country in the world, will gain by integrating with large trade countries. Our supply chains will become global; our consumer choices will also become global. We have no choice but to be a global trade partner of the top 10.
- FDI and capital markets will gain with trade stability and news of access. Expect strong growth in market cap. But FDI must move up to 3-4 per cent of GDP to create good jobs.
- Future exporters should learn global brand building from two-wheeler brands like Bajaj, Hero and TVS. Their playbook will help. Technology brands can learn from the IT services industry.
- Indian brands will need to get competitive in the domestic market. It is not easy to beat Indian brands in India, and hence companies will need to over-invest — not in advertising but in understanding consumer shifts

| Top 10 exporting and importing countries |             |                  |             |
|------------------------------------------|-------------|------------------|-------------|
| Top 10 exporters                         | \$ trillion | Top 10 importers | \$ trillion |
| China                                    | 3.6         | USA              | 3.3         |
| USA                                      | 2.06        | China            | 2.6         |
| Germany                                  | 1.67        | Germany          | 1.4         |
| Japan                                    | 0.70        | UK               | 0.8         |
| Netherlands                              | 0.699       | Japan            | 0.74        |
| South Korea                              | 0.683       | France           | 0.74        |
| Italy                                    | 0.674       | India            | 0.70        |
| Hong Kong, China                         | 0.649       | Hong Kong, China | 0.69        |
| France                                   | 0.626       | South Korea      | 0.64        |
| Mexico                                   | 0.619       | Mexico           | 0.64        |
| World total                              | 23.92       | World total      | 24.2        |

Source: International Trade Centre's trade map from UNCTAD

by region. Indian brands have nothing to worry about — very few multinational brands have succeeded in the Indian market in the areas of concern like dairy and agriculture. The Indian farmer needs the right support for quality produce.

- Several key performance indicators and rankings must improve, if we are to translate our newfound access into tangible success. There is a full ecosystem of measures we need to work on. Our soft power rank is 30<sup>th</sup> — this must go up. Economic diplomacy must go hand in hand with political diplomacy. The Prime Minister, Chief Ministers and Ministers must take industry captains along for all bilateral and trade block meetings. The US, the UK and Finland have done this consistently. Our innovation ranking is 38 — we must get into the top 15. Our global competitiveness score is 41, way too low for a No 3 GDP nation. We need to protect IP — our rank in IP is 38. Our governance needs to improve dramatically. The government, bureaucracy and regulators must unite to ease processes, improve consistency and draw the line on deviation.
- India must move away from the low-wage advantage moat. Wages will not remain low over a decade, and China is a good example. India cannot play the low

wages card for long.

- For Indian brands to be global successes, we need to improve design thinking, get better at understanding global consumers, and not remain content with serving the Indian diaspora. Not a single global brand has emerged from India from serving the Indian diaspora. We also need to hire multi-country managers and integrate them into our culture and ways of working. To attract them to India, we need to offer basics like quality global education. India has 200-plus IB (International Baccalaureate) world schools and Bengaluru has 40. The expats in Bengaluru fuelled this.

The strategy is right, but the execution will need top collaboration. The government and the private sector need to work in tandem; industry sectors should be willing to collaborate and avoid taking an industry silo view. This requires a fundamental shift in our CEO mindset of “I am okay as long as I gain”.

The government's hard work and the skilful negotiation by diplomats have got us to the access door. Success is not guaranteed without a fundamental shift in our industry approach to tariff-led globalisation.

Shiv Shivakumar is former Chairman of Pepsico India and former CEO of Emerging Markets at Nokia

## NEW DYNAMICS

# How Suzlon's ‘decoupling’ gambit is paying dividends

**FULL-SUITE SERVICE.** The wind turbine maker is set to delink project development from execution

M Ramesh

Last week, Suzlon Energy Ltd (SUEL) released its Q3 results, buoyed by the wind it harnesses for its business. The wind turbine manufacturer's net profit for the first three quarters of 2025-26 is almost equal to that of the full year 2024-25 — ₹2,048 crore against ₹2,072 crore. But a key insight into the company's recent success lay buried in the mass of facts, figures and effusive statements in the press release. In his quote, Suzlon Group Vice-Chairman Girish Tanti revealed, almost in passing, that the company would “launch a DevCo”.

A DevCo? The term means little until one unpacks it. What Tanti meant was that Suzlon would create a wholly-owned subsidiary to “develop” projects before bagging them.

In the renewable energy industry, particularly wind, considerable groundwork can be done to get the equipment supplier battle-ready. That is exactly what Tanti meant when, in a conversation with *businessline* recently, he spoke of “decoupling” project development and project execution.

In the Indian wind industry, only three players provide full-suite, end-to-end services to developers — Suzlon, Inox (both turbine manufacturers), and Pune-based Powercon (a standalone solutions provider). Others perform segmented roles: turbine makers supply equipment, land aggregators secure sites, and turnkey contractors build projects. The full-service provider, however, will put up the plant and run it — you simply invest.

Indeed, this is precisely what Denmark-based developer Copenhagen Infrastructure Partners, a new entrant in India,



**BEYOND TURBINE.** Suzlon Energy offers end-to-end services BLOOMBERG

has done — handing over the entire responsibility of erecting, commissioning and operating a 300-MW wind project to Powercon.

Suzlon, the largest end-to-end service provider, is uniquely placed to decouple project development from execution. It can acquire — or secure control over — land, obtain permits, conduct micro-siting studies, such as terrain and wake-loss analyses, and undertake pre-construction surveys, including soil testing, hydrology and drainage assessments.

Suzlon is more advantageously positioned because it possesses a key input most others lack: data. It has over 10,000 operating wind turbines in India. These generate investor returns, and also continuously enrich Suzlon's data bank. The company sits on a mountain of wind data collected from the thousands of

wind masts installed (and later dismantled) across sites to measure wind speeds.

With this data muscle and development capability, Suzlon couples its turbine offering with the promise of swift execution. This was its winning pitch to steelmaker ArcelorMittal, which in January awarded Suzlon an order for 248.5 MW of turbines.

The thinking now is to house development work in a separate company; hence the DevCo. A distinct entity has become necessary, given the scale of development Suzlon plans to undertake — 25 GW. Group CEO JP Chalasani says the company wants EPC (project construction) to contribute 50 per cent of revenues by 2028, roughly double the current levels. Project development is a necessary precursor.

This decoupling strategy takes the company back full circle to

the old industry dynamic where turbine manufacturers owning land cornered orders — captured in the adage “*Jiska jameen, uska machine*.”

**RECORD ORDER BOOK**

Suzlon's project development strength largely explains its recent momentum. Despite recording its highest-ever quarterly deliveries at 617 MW, the company sits on a record order book of 6.4 GW — which, Chalasani notes, exceeded the quarter's opening order book.

After years of dormancy, India's wind sector began reviving in 2024-25, with fresh installations of 4.1 GW. In just the first nine months of 2025-26, installations have already touched 4.6 GW. There is little doubt the full year will set a new record, exceeding the previous high of 5.5 GW in 2016-17.

A key driver of this growth is the advent of firm dispatchable renewable energy (FDRE) bids, which require developers to supply renewable power on demand — during both peak and non-peak hours. FDRE supply necessitates complementary wind and solar capacities, balanced with battery storage. While some experts criticise FDRE for potentially oversizing capacities, it has nonetheless rocket-fuelled the wind industry.

Suzlon appears well-positioned to ride this buoyancy. Equity research firm Motilal Oswal Financial Services notes that 15-17 GW of wind projects are currently at the bidding or award stage, “providing healthy visibility for near-term order inflows” for Suzlon.

“The company's superior execution track record versus domestic peers, coupled with the limited participation of Chinese OEMs in the EPC space, positions SUEL favourably to capture complex and largescale projects,” Motilal Oswal says.

# Behind the hype of Indian CEOs dominating global corporate giants



PEOPLE@  
WORK

It was an unwelcome first day in my APAC role. One of my senior colleagues, in her first meeting with me, resigned as soon as we sat for our introductory catch-up. She said, “I have heard you Indians run organisations like a sweatshop. Sea diving is my hobby, and I want to ensure I protect that time.” That interaction shaped my way of working the next five years. As I juggled time zones, I had to constantly demonstrate my hard-working side to my bosses and, at the same time, empathise with my team's need for a work-life balance. The startup hustle mode we were in didn't really give the team much respite. The results didn't show either. Should I say my Indian model of working hard didn't pay off?

A decade later, when I began observing Indian-origin leaders taking over CEO roles in Fortune 500 companies, I wondered what the qualities were that made them rise or sustain their growth to the top.

**IMMIGRANTS VS LOCALS**

It's natural for us to celebrate the rise of Indian-origin CEOs in global Fortune 500 companies. We currently have 11 such leaders. It used to be 13 in 2024 and 16 in 2023. In the Forbes 2000 list, there are 28 Indian-origin CEOs. Whether that is significant for us to brag about depends on whether we consider the glass half-full or half-empty. At 2 per cent and 1.4 per cent people representation, I would rather not be part of the conversation that claims Indians are rising to the top. Compare that to the number of immigrants who are CEOs in Fortune 500 companies. More than 46 per cent of the Fortune



**ORIGIN STORY.** Leena Nair, CEO of Chanel Ltd

500 companies (231) in 2025 were founded by immigrants or their children (109 by immigrants, and 122 by children of immigrants). Among the 14 companies that debuted in the Fortune 500 list in 2025, 10 were founded by immigrants or their children. Should we credit their success to the American ecosystem, rather than Indian tough upbringing or education system? The large number of immigrants at the top of Fortune 500 companies makes that crystal clear.

**LOYALTY EXAGGERATED?**

Recently, Zoho founder Sridhar Vembu commented on social media platform X that Indians have risen in global corporations due to organisational loyalty — meaning they had long tenures in these firms, giving them the edge. But as per executive search and leadership advisory firm Russel Reynolds, nearly 68 per cent of new CEO appointments in 2025 across major global indices were internal promotions. This implies that the notion that only Indians work long tenures and hence grow faster is highly misplaced. In fact, Indians had to stay longer with their employers before they become CEO, whereas non-immigrants have had shorter tenures or direct appointment opportunities.

According to Hurun Global Unicorn Index 2025, Indians



Satya Nadella, CEO of Microsoft Corp

have co-founded over 130 unicorns overseas — over 90 per cent in the US, and a handful in the UK and Germany. Among the largest are San Francisco-based Databricks (valued at \$62 billion), design platform Figma (\$12.5 billion) and AI-native search startup Perplexity AI (\$9 billion).

**IMPACT OF PIOs**

As per Migrationpolicy.org, Indians in the US participate in the labour force at higher rates than both native and the overall foreign-born populations. In 2023, 74 per cent of Indian immigrants aged 16 and above were in the civilian labour force, compared to 63 per cent of US-born and 67 per cent of all immigrants. Compared to the two other groups, those born in India were more likely to work in the management, business, science and arts occupations. Moreover, on average, Indians have much higher incomes than the total foreign- and native-born populations. In 2023, households headed by an Indian immigrant had a median annual income of \$1,66,200, compared to \$78,700 for all immigrant-led households and \$77,600 for native-led households.

We have economic reasons to celebrate our NRIs in the US, more than just the 11 people of Indian origin who have become CEOs of Fortune 500 companies and the unicorn founders.



Sundar Pichai, CEO of Google and Alphabet

Last year, 27 per cent of the \$135 billion foreign remittances to India was from Indians working in the US.

**THE STRUGGLE**

In the last 12 months, 58,000 technology professionals from India travelled to countries like the US, UAE, the UK, Canada and Germany, and about 40,000 came back. Those who return find it difficult to sync with employers on home turf, especially if they have been away longer. My nephew, who recently came back from New York after living there a decade, said, “Everybody here seems to be working one and a half times their actual job description.” That explains why some of us feel overworked whereas our bosses feel we are not productive enough! The number of extra gigs we make our reportees do without any direct link to their KPIs is mindboggling.

The paradox that Indians are more productive overseas and struggle to find their rhythm in India puts a lid on the debate over why immigrant Indians are so successful in countries like America. There is something about us when we pack our bags and go overseas. However, when we are in India, it seems like we are stuck with “*do it by yesterday, but take my approval for tomorrow*”.

Kamal Karanth is Co-founder of Xpheno, a specialist staffing firm

## FUTURE BECKONS

# ‘Biz leaders must find ways of using AI to deliver value for consumers’

Academic and author Vijay Govindarajan expounds on the next frontier of tech

Vinay Kamath

Vijay Govindarajan, popularly known as ‘VG’, is Coxie Distinguished Professor at the Tuck School of Business. A well-known academic and author of 15 books, he's one of the world's foremost experts on strategy and innovation. VG was in Chennai recently to deliver the second Bala Balachandran Memorial Lecture (VG describes Balachandran as his mentor), hosted by the Great Lakes Institute of Management and the Madras Management Association. He took time off to speak with *businessline* on all things AI. The Chennai-born chartered accountant (he won the President's gold medal in 1972 for securing the first rank nationally) has a PhD from Harvard Business School.

*Edited excerpts:*

**AI is top of mind for all industries. How do you see the future evolving?**

What we have seen so far is the digitisation of the B2C (business-to-consumer) sector. Think books, travel, movies. Google to Netflix and Amazon, which have transformed the lives of consumers. The next frontier is digitising of B2B (business-to-business) industrial companies — tractors to automobiles and aircraft engines.

The fundamental difference in what we have been able to digitise so far in the B2C sector is what I would call pure information sectors — like Google or physical products, say cameras, which have disappeared and been overtaken by mobiles. In B2B industrial companies, the physical product, like a tractor, will never disappear. But the value is going to migrate from the physical product to data and AI. Therefore, this is the most exciting frontier because the total GDP in the world is \$100 trillion, of which only 25 per cent is in the B2C sector, which has been digitised. And digitising this \$25 trillion, think about the value we have unleashed.



**AGENTIC STRATEGY.** Vijay Govindarajan, Coxie Distinguished Professor, Tuck School of Business

Imagine if we digitise the remaining \$75 trillion. Why has that not happened? There are three important reasons. You can digitise the B2C sector with one technology, through the mobile phone. But you cannot digitise a tractor with a mobile. You need sensors, computer vision and IoT. All those technologies are there, but their cost is prohibitive and it's going to take time for the cost to come down.

Tesla has shown we can digitise automobiles. But lots of other sectors are yet to be digitised. The second reason is that in the B2C sector, 80 per cent accurate recommendation is good enough. Suppose Amazon gives you a recommendation for 10 books, and you liked only eight. It may be inconvenient, but you can live with it. But an airline cannot get 80 per cent recommendations from Rolls-Royce, because when you're flying the plane miles high up, it would be disastrous. The third reason is that traditional AI models were capable of analysing only structured data. While industrial sectors generate structured data also, the bulk of the data they generate is unstructured and qualitative — say an image or the sound of a machine.

But GenAI is exactly what the doctor ordered. Putting all three together, one can develop large language models for the industry that

are 100 per cent accurate.

**Will the AI revolution be as seminal as, say, the internet revolution was in the early 2000s, or will it be an even bigger game changer?**

Without a question. It will be a thousand times more transformative than the internet. You see, we have seen three fundamental inflection points in technology. Web architecture was the first. It just decentralised information. Second is the development of apps. However, apps are fragmented — different apps for different uses. The whole agentic era we are entering into, it is able to learn across these various agents and then solve your problem. It can coordinate all the fragmented sources of information: Some may be in my wearables, some may be in my finances, or, say, information from a hospital. It is able to coordinate all of that and give me real-time recommendations.

Therefore, this is huge. This is bigger than the steam engine or the industrial revolution. This is definitely bigger than the decentralised web and the app architecture.

**Is AI a bubble or is it for real?**

A lot of people are asking if we are seeing an AI bubble since we have spent and continue to spend billions. AI has completed five years now, and what we have done is to build the infrastructure. Because all the large language models are essentially infrastructure. The next five years will tell whether it is a bubble or not. Only when companies build applications will it create value, and the investment in AI will pay off. Again, go back to the internet. We spent a ton of money on developing it. But the value was created by Netflix, Amazon, Airbnb, Uber... That has not happened yet in AI. So the next five years are important. If AI is to pay off, then leaders of companies will have to figure out intelligent ways of using it to deliver more value for customers.

You can read the full interview at thehindubusinessline.com



FUND FACTS.

\$100 million

Radiance Renewables Private Limited received funding from Impact Fund Denmark and Netherlands Development Finance Company on February 9, taking the total funding to \$260 million.

\$51 million

Fitshit Health Solutions Private Limited received Series D funding from Sauce.vc, Rainmatter Ventures, AYRA Ventures, Peak XV Partners (Sequoia India and SEA) and Sofina on February 4, taking the total funding to \$87 million.

\$30 million

JJG Aero Private Limited received Series B funding from Norwest Venture Partners on February 2, taking the total funding to \$47 million.

\$30 million

Petfully Yours Private Limited received funding from Saama Capital, Venturi Partners, Nippon India Alternative Investments, Titan Capital, Fireside Ventures, RPSG Capital Ventures and Sauce.vc on February 10, taking the total funding to \$59 million.

\$23 million

Smartcoin Financials Private Limited received Series C funding from Fundamentum Partnership and SMBC Asia Rising Fund on February 9, taking the total funding to \$49 million.

Source: PrivateCircle Research, a private market intelligence platform

RE POSTS.

- ✕

Indian VCs are going to struggle to drive returns because they can only invest in tech startups in India. Few AI startups to back

But the ones who have a real tough task ahead are Indian public market investors because they haven't even recognised & fully backed Tech startups!

**Amrish Rau**  
@amrishrau
- ✕

Public markets want numbers from startups when they go public. Not narratives.

Most founders are busy delivering narratives. That works best when you are dealing with VCs and raising capital from them!

**pi**  
@BeingPractical
- ✕

If you are able to determine what is durable and compounding vs what is vulnerable to AI and replaceable; today is the single greatest buying opportunity in the public market.

**Harry Stebbings**  
@HarryStebbing

THREAT MANAGEMENT

India-made world-class cybersecurity IP

GAINING TRUST. Going beyond services, cybersecurity start-ups are innovating to build product-led platforms for global markets

KV Kurmanath

India’s cybersecurity start-ups are increasingly eyeing opportunities beyond plain-vanilla services. Amid rising digitisation, the complexity of AI-driven threats and new data protection regulations such as the DPDP Act, founders are building product-led platforms covering cloud security, identity and threat detection, often keeping global markets in sight from the start.

They, however, face two distinct challenges: Building enough trust and capability to compete with global incumbents, and securing the long-term investment needed to mature into independent, global entities, rather than becoming acquisition targets.

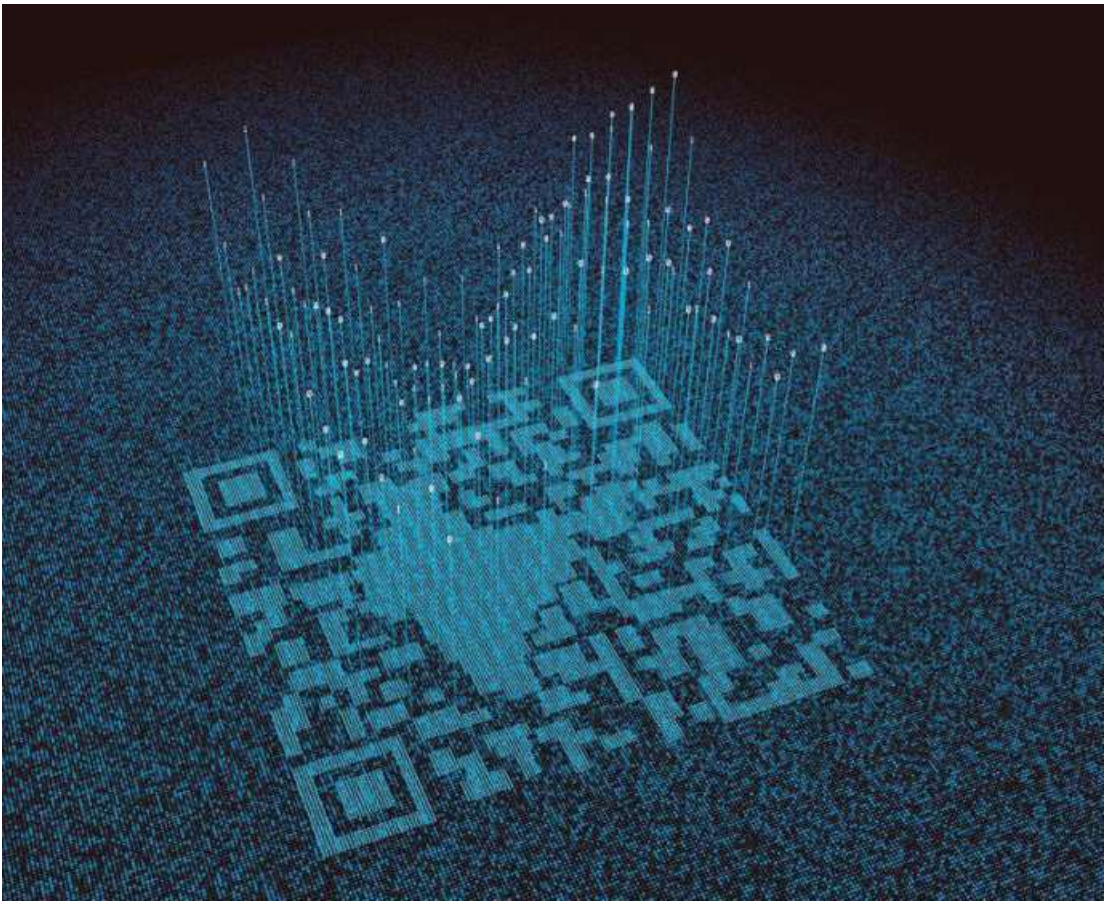
India currently has over 400 cybersecurity product companies. The sector has grown rapidly from \$1.05 billion to \$2.05 billion over the last five years, at a 34 per cent compound annual growth rate, according to the Data Security Council of India (DSCI).

“DSCI’s ‘Cyber security product landscape report 3.0’ highlights that about 55 per cent of product companies’ revenue comes from global markets. They are giving more emphasis to IPs, and the architectures are increasingly a hybrid of software and hardware,” Vinayak Godse, Chief Executive Officer of DSCI, says. “The Indian security start-up ecosystem would have to chart an aggressive journey for the platformisation of its capabilities,” he adds.

**GLOCAL STRENGTHS**

The domestic ecosystem remains centred in Bengaluru, Pune, Delhi and Mumbai. Internationally, North America, West Asia and Southeast Asia have emerged as significant markets for Indian cybersecurity products.

Manish Chachada, Chief Operating Officer and Co-founder of cy-



bersecurity startup Cyble, believes that the ecosystem has matured considerably. “What’s encouraging is the shift from services-led models to genuine product innovation — start-ups are building differentiated platforms in identity management, cloud-native security and behavioural threat detection that can compete on the global stage,” he says.

He adds that clients insist on receiving contextual, actionable threat intelligence for their specific geography and industry vertical.

“The dark web isn’t monolithic — threat actors targeting Indian BFSI (banking, financial services and insurance) operate differently from those focused on manufacturing or healthcare. The localised understanding gives Indian start-ups a

distinct advantage in their home market, but it also makes global expansion challenging,” he points out.

**BOTTLENECKS**

Nearly 39 per cent of Indian cybersecurity companies have secured external funding. “Most of the funded companies received capital within two years of inception, indicating strong early-stage investment appetite. Over 110 patents were filed in 2024-25, showcasing active innovation and IP development,” the DSCI report stated.

For start-ups, the real bottleneck isn’t technical capability — it’s the need to establish enterprise trust. “Security isn’t sold, it’s earned through proven incident response,

rigorous compliance certifications and consistent delivery. Indian start-ups often underestimate the length of enterprise sales cycles and the investment required in customer service infrastructure,” Chachada observes.

Echoing this, GT Venkateshwar Rao, Managing Director of Posidex Technologies, points out that a new generation of Indian founders is building ambitious, product-led platforms focused on the global stage from day one, rather than merely patching existing problems. But the road ahead is far from smooth.

“These entrepreneurs aren’t just fighting hackers — they’re fighting for trust, which is the most valuable currency in security. They have to

work incredibly hard to convince businesses to choose them over established global brands — giants that can pour 100 times more money into a single marketing campaign. It’s an uphill battle where clever innovation and sheer grit are the only weapons that can level the playing field,” he says.

**CONSOLIDATION AHEAD**

Chachada anticipates strategic consolidation across specific verticals. “Indian companies will likely dominate categories where regional expertise matters — supply chain security for manufacturing, digital payment fraud or infrastructure protection. However, many will become acquisition targets rather than independent global players,” he observes.

Kiran Vangaveti, Founder-CEO of cybersecurity startup Blu Sapphire, concurs.

“This story is about what is fueling the growth of the Indian start-ups, how they are winning enterprise trust, and whether they can scale up into global security players or will be absorbed by larger incumbents,” he says.

Venkat Madala, Founder of Ciberts, argues that most big-tech players offer generic, one-size-fits-all AI security solutions that largely address only the most common and known risks such as prompt injection, data leakage, model abuse and insider threats.

“This approach often leaves enterprises with limited control and creates a growing trust gap. Start-ups like ours win by being fast, focused and deeply aligned with customer needs. We respond to new threats in hours, not weeks, and onboard customers with a lean, high-touch support model,” he says.

Indian start-ups are seen as uniquely positioned to adapt quickly, innovate continuously and deliver secure-by-design AI systems. Enterprises choose start-ups because they provide not just AI capability, but also agility and the security control needed in an AI-first world.

STARTUPS: VAI-THEE-FUSS

The precise art of letting go at the right time



One of the greatest joys for an entrepreneur is when her or his start-up gets acquired and there is a tangible financial outcome for the years of hard work, tough days and lonely nights. I experienced this amazing feeling in 2006 when I, along with my five co-founders, signed off on the transaction when the Aditya Birla group acquired Fabmall supermarkets and later rebranded it as More stores. In previous columns, we dis-

cussed when founders should bring in professional CEOs. An equally important question is, ‘When should a founder exit?’ On the face of it, the answer seems simple — namely whenever there’s a decent cheque on the table.

The decision to accept an acquisition offer, though, is less about the cheque size and more to do with being realistic about the startup’s future plans. While all entrepreneurs dream of building a large, independent company, some of the most admired, storied outcomes came from founders who exited at the right moment, while many painful failures came from staying too long.

Before founders decide whether to exit or not, they must ask them-

selves some important questions:

- Does the next phase for the company require capabilities I cannot realistically build?
- Am I still the best person to lead this company forward?
- Is the acquirer paying today for risks I would otherwise carry?
- Will employees and customers genuinely benefit from this acquisition?

Instagram had over 30 million users but zero revenue, and the next phase required infrastructure and scale that would have taken many years and huge capital to build independently. Selling early to Facebook transferred execution risk to a company that was structurally better placed to handle it. The founders exited before complexity

crushed speed, and the product scaled up faster than ever. Contrast that with Yahoo’s long list of failed ‘buy’ or ‘sell’ deals with Microsoft, Google, Facebook, and even Netflix at one point. In hindsight, Yahoo’s mistake wasn’t in not buying or not selling, but failing to recognise when its own ability to execute had diminished significantly.

WhatsApp is an example of an exit that was too early. WhatsApp’s founders sold before monetisation, but to an organisation that allowed independence, preserved culture and provided unmatched global reach. Sometimes startups get acquired into large corporations, where products simply stagnate and disappear, or become irrelevant over time.

A good price never compensates for a bad fit.

In India, Flipkart’s sale to Walmart was emotionally controversial but strategically sound. Indian e-commerce had become capital-intensive; competing indefinitely against Amazon as a standalone company would have required levels of capital, patience and global muscle few could sustain. The acquisition unlocked value, protected employees and ensured the platform’s long-term survival. In start-ups, as in life, wisdom lies not in holding on forever but in knowing exactly when to let go.

The writer is a serial entrepreneur and best-selling author of the book ‘Failing to Succeed’; posts on ‘X’ @vaitheek

Raghu Vamsi Aerospace: Ambition fired by jet fuel

How a dying wish led to the birth of an Indian startup that supplies critical parts to aviation giants

KV Kurmanath

Like a few other successful startups that have emerged from the 1,700-acre electronic hardware park near Hyderabad’s Rajiv Gandhi International Airport, Raghu Vamsi Aerospace has a compelling story. A key aerospace player in the country today, the company was born out of a long-cherished dream of a polytechnic certificate holder, whose life was tragically cut short at age 47.

G Thrimurthulu’s maiden venture, in 1992, was in power transmission, which helped him gain expertise in precision engineering.

In 2002, Thrimurthulu decided to upgrade his business — from conventional machining to precision aerospace.

“Tragedy struck just as the factory was under construction,” reminisces his son Vamsi Vikas Ganesula, Founder and Managing Director of Raghu Vamsi Group. “My father was diagnosed with stage IV pancreatic cancer. During his last days, he spoke about his dream of building a world-class aerospace company.”

Ganesula, then aged 22 and pursuing an executive MBA programme at IIM-Calcutta,



G-FORCE. Vamsi Vikas Ganesula, Founder-MD, Raghu Vamsi Group

took over the project after his father’s death.

“I was actually preparing to leave for the United States at the time to pursue higher education. He told me it’s important that we grow this company. Once you have that last wish to fulfil, you’ll develop much more belief (in the project),” he says, reflecting on the challenging time in his life.

Launched with 10 employees and a turnover of ₹11 lakh, the startup made a mammoth leap from manufacturing parts for HAL Koraput to supplying global aviation giants such as GE, Pratt & Whitney, and Rolls-Royce.

A joint venture in 2011 with ITP, a Rolls-Royce subsidiary, marked the company’s entry into the international market

for critical aero-engine parts. Today, it also partners with Adani, in a venture called Comprotech, to indigenise missile subsystems for Indian defence projects like the ‘Astra’.

The group is set to close the year with revenue exceeding ₹500 crore and a 1,000-plus workforce.

**IN-HOUSE STRENGTHS**

Ganesula emphasises that the company’s philosophy centres around indigenous innovation, rather than technology imports. This determination led to the development of the country’s first micro turbojet engine, which was tested and approved.

Building on this success, the company launched the Arrobot brand two years ago to focus on

robotics and autonomous systems.

It is now preparing to launch six new products, including a high-speed kamikaze UAV (unmanned aerial vehicle) capable of reaching a speed of 600 kmph.

“Most companies in India get technology transfer from outside, but we started from a situation where we wanted to completely design, develop and manufacture everything in-house,” Ganesula says.

Raghu Vamsi Aerospace now operates 10 manufacturing units across India, the UK and the US. To fuel business expansion, including a new 8.5-acre facility, the company recently raised over ₹100 crore in equity. Despite the rapid scale-up, Ganesula remains focused on a singular, high-altitude goal that mirrors his father’s original ambition.

“We want to build an aircraft in India sometime in the next five to six years,” he says, outlining a roadmap that includes hiring 2,000 more people over the next three years.

For him, this is more than just a business — it is the pursuit of a legacy. “What is important is to grow step by step and make the dreams a reality, rather than just making money,” he asserts.

A leg-up for asset-light disruptors

bl.interview

Aishwarya Kumar

When AdvantEdge Partners began investing in mobility startups a decade ago, shared transport platforms and electric vehicle (EV) infrastructure were still fringe bets.

Founder-market fit, not fund size, shaped its thesis: Build asset-light platforms first, and add physical infrastructure only when there is revenue visibility, recounts Kunal Khattar, a Founding Partner. That approach led to early bets on two-wheeler ride-sharing, bus mobility and EV charging — segments that addressed the affordability and utilisation gaps unique to India.

As the firm raises its third fund, it is doubling down on commercial electrification and capital-efficient models, Khattar says, arguing that the country’s mobility transition will be driven as much by unit economics as technology.

Edited excerpts:

**What is your fund thesis?**

We think of the fund itself as a startup. The first question is founder-market fit, where we have deep insight and access. Given our automotive ecosystem exposure, mobility was a natural focus.

Second, capital alone isn’t differentiation. We bring domain depth. Our early thesis centred on shared mobility — affordable, scalable and asset-light platforms suited to In-



“The biggest opportunity is the transition from ICE to EV in commercial mobility. We are focused on enabling this shift

KUNAL KHATTAR  
Founding Partner, AdvantEdge Partners

dia, where two-wheelers dominate, and price sensitivity is high.

Today, that thesis extends to EV transition and enabling infrastructure, especially in commercial mobility.

**Can you walk us through the fund deployments till date?**

Fund I (2015) had \$10 million deployed across 24 companies. Early bets included Rapido, Chalo and Shuttl. Fund II was \$30 million deployed across 22 investments, including Exponent Energy, Moonrider, Astranova and Bytebeam. Fund III is \$60-70 million — first close completed, and early investments are underway.

Cheque sizes were ₹2-3 crore (Fund I) and are expected to be ₹6-10 crore in Fund III.

**How do you balance asset-light and asset-heavy bets?**

In the zero-to-one journey, we strongly prefer asset-light models.

Category creation in India involves pivots. If founders lock capital in physical assets too early, runway risk increases — something that Covid (pandemic) exposed. Asset-light marketplaces survived revenue collapse; asset-heavy operators struggled with fixed costs. Asset-heavy bets are made when they generate revenue from day 1 or can be financed through debt.

For instance, EV charging infrastructure can be asset-heavy but cash-generating from day zero.

**What is a contrarian view you hold?**

Most capital is flowing into personal EV mobility.

We believe the transition will be faster on the commercial side. Commercial fleets consume far more fuel and benefit immediately from EV economics. The operating leverage will drive adoption faster than consumer preference alone.

**What are you looking forward to next?**

The biggest opportunity is the transition from ICE (internal combustion engine) to EV in commercial mobility. We are focused on infrastructure, financing and fleet-level electrification — the enablers of this shift.



DATA BANK.

Microfinance takes a selective growth path

India's microfinance industry, comprising non-banking financial companies and microfinance institutions (NBFC-MFIs), banks, small finance banks (SFBs) and NBFCs, is navigating a phase of cautious resilience, balancing portfolio consolidation with selective growth, according to CRIF High Mark's latest 'MicroLend' report.

As of December 2025, gross loan portfolio (GLP) outstanding was ₹3,20,900 crore, contracting 7.2 per cent quarter-on-quarter (QoQ) and 18 per cent year-on-year (YoY). Active loans stood at 11.2 crore, down 9.1 per cent QoQ and 23 per cent YoY.

The drop in MFI portfolio outstanding (POS) in December 2025, compared with September 2025, is accentuated by an about 5 per cent shift (as a share of September 2025 POS) from MFI to retail portfolios in Q3FY26, mostly driven by banks, according to the report.

Active loans are contracting more steeply than POS, indicating a consolidation toward bigger loans and a moderation in borrower outreach. In addition, the average number of loans per borrower declined from 1.7 in December 2024 to 1.5 in December 2025, reflecting the impact of tighter norms.

Originations value sustained the recovery momentum, with a higher amount disbursed during October to December 2025 at ₹61,716 crore, up 9.2 per cent QoQ and 5.2 per cent YoY.

The credit information bureau, in its report, noted that NBFC-MFIs continue to anchor the sector, holding 41.6 per cent of the GLP outstanding as of December 2025, against 38.6 per cent as at December 2024.

A transition is evident, with banks' POS share declining from 32.7 per cent in December 2024 to 26.6 per cent in December 2025, while NBFC-MFIs, NBFCs, and SFBs expanded their presence. Banks also moderated disbursements, with originations value share falling from 36.7 per cent in Q3FY25 to 26 per cent in Q3FY26.

Loan volumes grew 6.8 per cent QoQ to 102.5 lakh, though still below Q3FY25's 112.8 lakh. On a YoY basis, average ticket size rose 15.7 per cent — from ₹52,000 in Q3FY25 to ₹60,200 in Q3FY26, signalling consolidation towards bigger loans and a more selective borrower base.

Portfolio quality trends were encouraging across DPD (days past due) buckets (portfolio at risk, or PAR, 1–30, 31–90, and 91–180), with PAR 1–30 declining from 1.8 per cent to 1 per cent, PAR 31–90 from 3.1 per cent to 1.4 per cent, and PAR 91–180 from 3.2 per cent to 2 per cent between December 2024 and December 2025. However, PAR 180+ (including write-offs) rose from 7.1 per cent to 17.3 per cent over the same period.

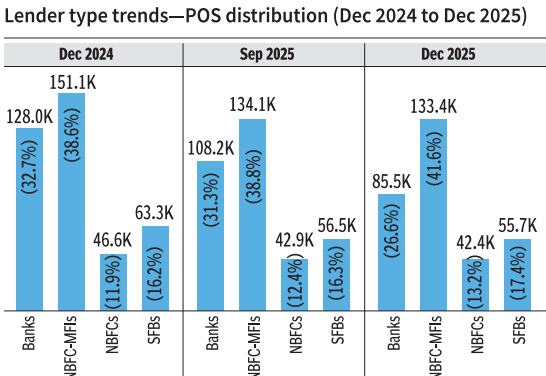
Borrowers with up to three lender associations now account for 94 per cent of POS as of December 2025, also reflecting the impact of guardrails. Within this cohort, those with two or fewer associations constitute 80 per cent of the portfolio, up from 70.2 per cent as of December 2024.

India's microfinance sector continues its measured stabilisation story, with disbursements picking up amid strong portfolio consolidations and recalibrations

|                                    | Dec 2024 | Sep 2025 | Dec 2025 | YoY<br>(Dec 2024 to Dec 2025) | QoQ<br>(Sep 2024 to Dec 2025) |
|------------------------------------|----------|----------|----------|-------------------------------|-------------------------------|
| GLP (₹cr)                          | 391.5K   | 345.6K   | 320.9K   | -18.0%                        | -7.2%                         |
| Active loans (cr)                  | 14.6     | 12.4     | 11.2     | -23.0%                        | -9.1%                         |
| Amount disbursed in last 3 M (₹cr) | 58,679   | 56,536   | 61,716   | 5.2%                          | 9.2%                          |
| Loans disbursed in last 3 M (lakh) | 112.8    | 96.0     | 102.5    | -9.1%                         | 6.8%                          |
| PAR 1-30                           | 1.8%     | 1.4%     | 1.0%     | 0.8%                          | 0.4%                          |
| PAR 31-90                          | 3.1%     | 1.8%     | 1.4%     | 1.7%                          | 0.5%                          |
| LPAR 91-180                        | 3.2%     | 2.7%     | 2.0%     | 1.3%                          | 0.8%                          |
| PAR 1-180                          | 8.2%     | 6.0%     | 4.4%     | 3.8%                          | 1.6%                          |
| PAR 180+ (incl. W/O)               | 7.1%     | 15.3%    | 17.3%    | 10.2%                         | 2.0%                          |

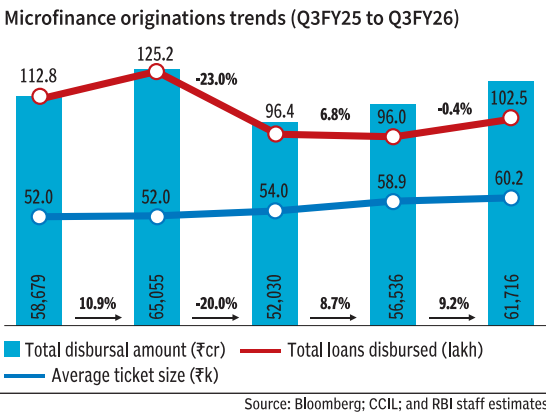
Note: PAR 180+ (Incl. W/O) is for loans disbursed in last 36 months; delinquencies in the higher bucket, particularly PAR 180+, may appear elevated, as some regulated entities may continue to report DPD on accounts that have been written off.

NBFC-MFIs continue to lead, commanding a 41.6% share of portfolio outstanding, with POS levels remaining stable QoQ



Note: The first figure indicates the book size in ₹cr, second figure (%) indicates the market share by lender type.

Microfinance disbursements volume rebounds in Q3FY26 along with a continuing increase in disbursements value



Piyush Shukla

A structural shift in balance sheet is on across Indian banks. On the asset side, lenders are increasingly generating more money from “non-interest income” or other income sources, and on the liabilities side, the focus appears to be more on tapping bond markets rather than relying on deposits to fund credit growth.

The shift away from deposits on the liabilities side is natural. As countries grow in size, household savings get parked in instruments that provide better returns, such as mutual funds, pension funds, insurance funds, small savings scheme, government bonds, State development loans and, more recently, sovereign gold bonds. The largest global lenders do not rely on deposits to fund their loan growth or investment book.

CD RATIO

According to RBI data compiled by CareEdge Ratings, the credit-deposit (CD) ratio of banks touched an all-time high of 82.2 per cent for the second consecutive fortnight ending January 15. The CD ratio indicates the share of a bank's loans that are funded by deposits. In the fortnight ended January 15, both deposits and credit fell sequentially, with deposits declining faster than credit, widening the gap to 250 basis points (bps).

Apart from the shifting of household savings to other higher yielding products, the rating agency pointed out that the increase in short-term bond rates also likely prompted a partial reallocation of bulk deposits to market-linked instruments. It is in this context that bankers and the central bank no longer view the CD ratio as the core metric to judge a bank's health or liquidity profile. They are, instead, monitoring the liquidity coverage ratio (LCR) and the net stable funding ratio (NSFR) to assess bank liquidity.

WIDENING THE CRITERION

Bank health check beyond CD ratio

FLOW GAUGE. Why lenders no longer view the credit-deposit ratio as the primary indicator of a bank's liquidity

LCR and NSFR are Basel-III regulatory tools designed to ensure banks maintain adequate liquidity to survive financial distress. LCR measures short-term (30-day) resilience against cash outflows, while NSFR ensures long-term (one-year) funding stability for assets, both requiring a ratio of at least 100 per cent.

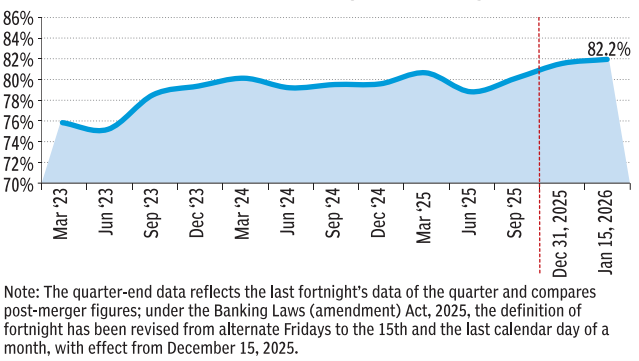
LCR, NSFR

RBI Governor Sanjay Malhotra recently said that during periods when credit grows faster than deposits, the CD ratio tends to rise and vice versa.

“But I may mention that, for us, it is not the CD ratio which is important. What is important is liquidity. There is NSFR for medium-term liquidity... LCR for the immediate or one-month liquidity that we are looking at. Both — for banks, as well as non-bank financial companies — are at very comfortable levels. So, there is no issue over there,” he said. This is perhaps for the first time that the regulator has acknowledged LCR



CD ratio rises to an all-time high of 82.2% for the second consecutive fortnight ending January 15



and NSFR as more important metrics than the CD ratio.

CS Setty, Chairman of the country's largest lender State Bank of India (SBI), agreed with the RBI Governor, saying the ongoing shift in financial savings is here to stay and, structurally, banks need to re-look their balance sheet composition.

“Today, most of us (banks) don't reach out to market be-

cause it is more expensive than deposits. Today, if you want to borrow, it is mostly in the secured market. But we need to have depth in the debt capital market, where banks will be able to access bonds if not at lower than deposit cost, then at least equivalent to it. That will give banks the flexibility to structure their balance sheet,” Setty said.

“I agree with the Governor's

A safety net in sickness and in health

How preventive and proactive care is central to building a sustainable health insurance model



MAYANK BATHWAL

In India, health insurance is largely viewed through a narrow lens, as something to be considered only when a hospital visit feels imminent — a safety net reserved for difficult moments. But the country's evolving health needs demand a broader, more forward-looking approach. Today, the interface with healthcare itself is shifting, from the manner of accessing information to managing everyday wellbeing. This shift, in turn, is reshaping expectations from insurance.

As digital adoption accelerates, awareness of preventive care grows and consumers engage more actively with their health, insurance is undergoing a steady redefinition. It is evolving from a crisis-driven safety net into a partner that supports everyday health choices. In this new arc, usability will shape the future of health insurance. The industry's growth has been impressive, driven by rising health awareness and digital innovation.

Yet, the true promise of health insurance lies ahead. The future will belong to insurers who make their products simpler and seamlessly usable.

FROM CLAIMS TO CARE

India's health challenges are increasingly being shaped by chronic and lifestyle-related conditions that require continuous management. Non-communicable diseases, such as diabetes, hypertension and heart disease, are responsible for nearly two-thirds of all deaths in the country.

The World Health Organisation's 2030 Agenda for Sustainable Development, to which India is a signatory, recognises NCDs as a major challenge to global progress. It calls for reducing premature mortality from NCDs by one-third, through prevention and treatment, by 2030. This underscores the need for India's healthcare ecosystem, including insurers, to move from reactive care to proactive health management.

A preventive approach is now central to building a healthier population and a sustainable in-



QUICK ASSIST. Technology enables innovative products such as instant and affordable accident covers ISTOCK

surance model, with insurers promoting regular check-ups, wellness assessments and fitness-linked incentives. When preventive care becomes integral to insurance, staying healthy is not just encouraged but also rewarded.

EVERYDAY HEALTHCARE

Healthcare costs in India are rising sharply — projected to consistently run at 12-15 per cent annually, higher than the general inflation rate of 4-6 per cent. While hospitalisation costs draw the most attention, a significant share of healthcare spending happens outside hospitals. Doctor consultations, diagnostic tests, teleconsultations and medicines account for much of what families pay from their pocket. These smaller, frequent costs often create more financial strain than a rare hospitalisation. Health insurance is beginning to reflect this shift.

Comprehensive coverage should extend to outpatient (OPD) care, making doctor visits and diagnostics more affordable. The pandemic accelerated the use of telemedicine, and millions of Indians now consult doctors online, highlighting the demand for accessible healthcare beyond physical clinics. Incorporating such services into mainstream plans will make healthcare more inclusive and convenient. Pharmacy benefits are equally important. Medicines often form the largest component of household health spending. Insurers can ease this burden by covering prescribed

drugs, offering cashless pharmacy services or partnering with digital pharmacies for discounts and doorstep delivery.

MICRO-PRODUCTS

A major challenge in India's insurance landscape is the missing middle segment: Millions of individuals and families who do not qualify for government schemes but find private insurance expensive or complex. This segment remains vulnerable to financial shocks from even moderate medical expenses. To bridge this gap, there's an opportunity for insurers to design flexible, event-based micro-products, such as seasonal dengue covers, maternity and childcare packages, or short-term wellness or accident covers. Such modular products can be purchased instantly, used easily and priced affordably. Technology is making this innovation possible.

Digital platforms now enable people to buy, manage and claim insurance on their phones, with minimal paperwork. Regulatory initiatives like IRDAI's Insurance Vision 2047 encourage simplified, digital-first products that expand participation and spur innovation. Integration with national health missions and payment systems will further streamline access.

As insurance becomes more flexible and transparent, it will attract new demographics, including young professionals and gig-economy workers who prefer customised, on-demand coverage.

A major driver of modern usability is personalisation. Tools, such as data analytics, artificial intelligence and wearable technology, are enabling insurers to tailor products and health programmes to suit individual behaviours and risk patterns. As this evolution unfolds, usability and user experience are becoming inseparable. Global research shows that insurers who invest in strong user experience design — clear interfaces, simplified journeys and responsive digital touchpoints — see higher satisfaction and deeper engagement among policyholders.

When technology feels intuitive and human, it encourages people to interact with their insurance more often and with greater confidence. Customers can now earn rewards, including a percentage of discount on their premiums, for daily step goals and receive nudges for preventive screenings or access tailored nutrition and fitness guidance. Over time, this could potentially evolve into hyper-personalised insurance that learns from individual habits and dynamically adjusts benefits.

India's push toward zero GST on individual health insurance marks a decisive shift: access must no longer be constrained by cost. The next chapter of health insurance in India will be defined by usability and affordability working hand-in-hand, moving closer to making “insurance for all” a lived reality.

The writer is CEO, Aditya Birla Health Insurance

observation that the important considerations for a bank's health are solvency and liquidity. These liquidity ratios, LCR and NSFR, are very strongly monitored by the RBI and banks,” he added.

RUSH FOR DEPOSITS

Sashidhar Jagdishan, MD and CEO, HDFC Bank, said the CD ratio is “not necessarily on the radar from a regulatory perspective”. However, the bank will continue on a downward glide path for the CD ratio. HDFC Bank's CD ratio peaked around 110 per cent when it absorbed erstwhile HDFC, and it remained around 100 per cent in the quarter ended December 2025.

YES Bank MD and CEO Prashant Kumar said deposit growth had been lagging credit growth for a few years now. For India to achieve a nominal GDP growth rate of 10 per cent, credit must grow at 13-15 per cent at least, he said.

Therefore, banks must find ways to grow deposits. They can either raise the deposit rates, which will dent profitability, or seek tax parity for deposits with other market instruments. The third option would be to look at alternative sources for liability growth, he said.

TAILPIECE

Vivek Iyer, Partner and Financial Services Risk Leader, Grant Thornton Bharat, said that since the market depth of the Indian economy is limited to the fixed income asset classes, which translates into higher cost of funds, deposit as a liability product will remain the most viable option for banks for the next few years.

“Structural reforms to reduce capital cost in the long term are a function of many reforms panning out operationally on the ground, which is still five years away, and we should definitely consider a metric to capture the same additionally instead of tweaking the CD ratio. This will help the government gauge how the market is evolving by looking at both ratios,” he said.

ASSET TEST

BOE may outsource stress data

Bloomberg



LENS ON RISKS. Bank of England in London BLOOMBERG

Some of the biggest players in private markets are in talks with the Bank of England about using a third party firm to gather data for its ground-breaking industry stress test to meet demanding timetables, according to people familiar with the matter.

The exercise is set to probe how a severe-but-plausible global downturn may impact trillions of dollars of unlisted assets in the global financial ecosystem. It follows increasing concern about the ties between less regulated non-banks and the deposit-taking institutions helping fund their expansion.

So far, 16 alternative asset managers and other financial firms have agreed to take part in the system wide exploratory scenario. The group is likely to grow to about 40. The BoE said it expects to publish results of the stress test in early 2027.

Some of the largest firms have misgivings about the ability of other participants to supply high-quality data quickly and the potential impact on the aggregated results, two people said, asking not to be named because the matter is private. A third party could assist with gathering data from firms that need support and help keep the project on track, one of them said. Alternative investment managers are due to submit their first data by March 16.

The Bank of England declined to comment. Senior UK lawmakers have already expressed concern at how long the central bank has set aside to conduct the exercise and the pace of any subsequent policy response, at a time of mounting fears about mis-priced risk and asset bubbles in private markets.



QUICKLY.

Birla to attend Rahman's oath-taking in Bangladesh



**New Delhi:** Lok Sabha Speaker Om Birla will represent India at the swearing-in ceremony of the newly-elected government of Bangladesh led by Tarique Rahman, Chairman of the Bangladesh Nationalist Party, in Dhaka on February 17, the MEA has said. The ceremony will mark the transition of power to Rahman following a landslide victory for the BNP in the February 2026 general elections, where the party secured over 200 seats. “As neighbours united by a shared history, culture and mutual respect, India welcomes Bangladesh's transition to an elected government under the leadership of Tarique Rahman, whose vision and values have received an overwhelming mandate of the people,” the MEA said. **OUR BUREAU**

NALCO, NLC India sign power project deal

**Hyderabad:** National Aluminium Company Ltd (NALCO), a Navratna central public sector enterprise, has signed a memorandum of understanding (MoU) with NLC India Ltd (NLCIL) for strengthening collaboration on the 1,080-MW thermal captive power project and renewable energy development. The MoU will support NALCO's captive and long-term power requirements, with a focus on sustainable energy solutions. “It provides a structured framework to explore long-term power tie-ups and coal supply arrangements. The partnership will envisage joint project development in the future,” a press release said. **OUR BUREAU**

# Tech Mahindra building AI world models to stay ahead of the curve

**GAINING GROUND.** Firm aims to provide industry-specific solutions, address future market demands

Vallari Sanzgiri  
Mumbai

IT company Tech Mahindra has begun building its own AI world models, capable of simulating real world scenarios for sectors like telecom and healthcare, in its bid to stay ahead of the AI curve in India.

“At this point in time customers are not asking for [such models], but in six months to one year they are going to ask that the AI be contextually relevant to the change that appears in a process. Attention to such levers allows Tech Mahindra to plan future actions,” said Nikhil Malhotra, Chief Innovation Officer and Global Head of AI and Emerging Tech, Tech Mahindra.

Currently, 70 per cent of Tech Mahindra's new, large deals (TCV of \$1 billion as per Q3 earnings) have AI embedded into them.



**BUILDING CAPABILITY.** Tech Mahindra aims to lead India's AI innovation and address talent challenges

It is also delving into the problems of security with the advent of Anthropic's MCP protocol and test how MCP security needs to be done with the agentic enterprise.

**PITFALLS OF GEN AI** “When the world was talking about Gen AI, we were already talking about agents and the pitfalls of Gen AI, which was responsibility. Today, the world is talking about agentic AI, and we are

already saying that unless you cure the LLM or the brain of the system and make it more context-relevant, agents will not work,” said Malhotra.

India should work on world models — that understand cause-and-effect relationships in a given situation — using diverse data specific to the country. The next two-three years are very important in this regard as players will combine the idea of contextual (reasoning) models

and world models, and then see how quantum computing joins this space, said Malhotra.

He pointed out that India still lacks in terms of R&D for AI, a situation worsened by the lack of talent sovereignty and capability sovereignty in the country.

“If India has to lead the race for AI, talent has to be created and utilised within the country. There has to be an ecosystem of investment in skills, education and applied research. If you notice, the global landscape of sovereignty, everyone has it. Europe has a regulation-led trust, which is the European Act, and they follow their own structure,” said Malhotra.

**GREAT OPPORTUNITY** Stating that there is great opportunity in AI world models, Sanchit Vir Gogia, Chief Analyst at Greyhound Research, voiced confidence in

India's AI roadmap, dismissing the recent fall in IT stocks as “a knee jerk reaction” to global announcements, including Anthropic's new AI plug-ins.

**CRITICAL ENABLERS** In its latest report on technology reimagination, NITI Aayog called talent, business environment and R&D “critical enablers” for scaling India's software and SaaS ecosystem.

“The current technology talent pipeline remains service-oriented, requiring a shift toward product life-cycle capabilities and skills in areas like DevSecOps and product management. The ease of doing business also needs improvement, as complex regulations continue to constrain SaaS operations. Streamlined procedures for IP registration, export compliance and talent retention would enhance competitiveness,” said the report.

# HAL expects seaplane nod in two years, identifies key markets



**CRUCIAL BACKING.** The government is planning to introduce viability gap funding to support seaplane operations

Aneesh Phadnis  
Mumbai

Hindustan Aeronautics Ltd (HAL) expects certification for its in-development seaplane in two years and sees potential for the product in the domestic market and from friendly countries such as Malaysia, Mauritius and Seychelles.

While the defence sector PSU (public sector undertaking) has been producing the Dornier-228 aircraft for the armed forces since 1983, the Directorate General of Civil Aviation granted approval for its civil variant (rechristened as Hindustan 228) in 2022.

HAL has also been working on an amphibian variant of the aircraft; the project received a shot in the arm as the Centre plans to roll out incentives for indigenous production of seaplanes.

The government will also introduce viability gap funding to support seaplane operations, Finance Minister Nirmala Sitharaman announced in the Budget earlier this month.

**BROAD SCOPE** HAL said design and development activities related to Hindustan 228 aircraft's amphibian variant are progressing.

“The programme's broad scope of work includes

design, development, manufacturing, testing and certification of airworthy amphibious floats with landing gear and attachment struts,” it said.

All analysis and testing activities will be carried out to demonstrate compliance with applicable airworthiness regulations and certification is expected in 24 months.

**DOMESTIC MARKET** “HAL envisages a potential market for amphibian aircraft in the domestic market, as well as export opportunities to friendly countries with similar aquatic topography and geographical conditions, such as Malaysia, Mauritius, Seychelles and other neighbouring countries with scattered islands,” the PSU said.

The development of the seaplane is part of HAL's larger focus to make products for civil aviation. Other initiatives include the signing of an MoU with Russia's United Aircraft Corporation for the manufacture of SJ-100 aircraft and Dhruv NG helicopters.

HAL is targeting an increase in revenue from commercial aircraft to 25 per cent from the current 5 per cent in a decade. Two Hindustan 228s have been built for civilian use, and one is in operation with Alliance Air since 2022.

# IT deals pick up in North America post Q3 lull

Sanjana B  
Bengaluru

After three months of subdued momentum, IT services deal activity strengthened in January, driven by a recovery in North America as enterprises cleared budget bottlenecks and revived previously deferred largescale technology programmes.

A report by BNP Paribas noted that January deal signings registered a modest rebound following three consecutive months of decline, which it attributed largely to

seasonal weakness. “The three-month rolling sum of deal signings, a one-quarter lead indicator of deal TCV, stabilised month over month. Deal wins were led by North America, underpinned by a sharp recovery, and Europe remained healthy,” it said.

**CLEAR REBOUND** North America recorded a clear rebound, with five deal wins in January compared with just two in December. Europe remained relatively resilient, closing four deals during the month versus six in December.

HCLTech and Cognizant led with the most deal wins in January at four wins each, followed by TCS with two wins, and LTIMindtree with one.

“The January momentum in North America reflects what can be described as a ‘release of deferred decisions’. During Q3, many enterprises adopted a cautious approach, focusing on budget consolidation and leadership realignments. As 2026 priorities became clearer, that caution transitioned into action — particularly in AI-led product engineering and digital modernisation,” Tushar Dhawan, Partner, Plus91Labs, said.

**FISCAL TIMING** He explained that both fiscal timing and macro stability played a role in influencing buying decisions.

With most US-based companies operating on a calendar fiscal year, January resets technology budgets that had previously been frozen or delayed.

Additionally, a stabilising interest rate environment and easing inflationary pressures have given boards greater visibility and confidence

in approving multi-year commitments. There is also a visible structural shift in capital allocation — away from exploratory innovation toward measurable, ROI-driven technology programmes.

Automation, AI-led optimisation and scalable digital platforms are now core board-level priorities.

Jimit Arora, CEO of the Everest Group, said, “North America will continue to be a dominant revenue contributor. In fact, we are seeing many more large and mega deal activity coming primarily from the US.”

# PAKISTAN COLLAPSES



**STUMPS SHATTERED.** Pakistan's Babar Azam is bowled out by India's Axar Patel during the ICC Men's T20 World Cup 2026 match at R Premadasa Stadium in Colombo on Sunday. At the time of going to press, Pakistan were at 97 for nine at the end of 16 overs against India's 175 **REUTERS**

# Calvin Christ wins New Delhi round of bl Cerebration Corporate Quiz 2026

Our Bureau  
New Delhi

Calvin Christ from Mastercard emerged as the winner of the New Delhi regional round of *The Hindu businessline* Cerebration Corporate Quiz 2026.

The regional finale of the 22<sup>nd</sup> edition of India's marquee corporate quizzing championship was held on February 15 at the Birla Institute of Management Technology (BIMTECH), Greater Noida.

After four rounds of quizzing, Christ outperformed five other finalists to secure the top honours. The on-ground regional final was conducted by quizmaster Venkatesh Srinivasan, popularly known as ‘Venky’ in quizzing circles.

The 2026 edition of the Cerebration Corporate Quiz is conducted in a hybrid format this year, commencing with virtual preliminar-



**TOP HONOURS.** Calvin Christ, winner of the New Delhi regional round, with Dr Prabina Rajib, Director, BIMTECH

ies, followed by on-ground regional finals across six cities, and culminating in the national finale on February 21, 2026.

**NATIONAL TITLE** Winners from each regional round will compete for the coveted national title.

The prize money remains substantial, with cash awards of ₹75,000 for the winner, ₹50,000 for the runner-up and ₹25,000 for the

second runner-up. The remaining regional final is scheduled to be held in Mumbai on February 21, along with the national finals at the BSE.

*The Hindu businessline* Cerebration Corporate Quiz 2026 is presented by Title Partner JK Tyre, powered by IndianOil Corporation Ltd, in association with the BSE. The associate partner for the event is the Central Bank of India.



The regional venue partners include MOP Vaishnav College for Women, Chennai; Institute of Public Enterprise, Hyderabad; St Teresa's College, Ernakulam; Kristu Jayanti Deemed to be University, Bengaluru; and BIMTECH, Greater Noida, Delhi.

The gift partner for the event is Nexus Gifting Solutions and the quiz partner is NEXUS. Viewers can relive the excitement of the New Delhi regional round by watching the quiz at: [tbitl.news/BLQNDMSM](https://tbitl.news/BLQNDMSM)

# US tariff cuts likely to stabilise gherkin exports; EU gains to build gradually

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India's gherkin exports are expected to recover after the US reduced its additional tariff to 18 per cent in early February 2026, industry officials said.

The recovery follows a projected decline in CY2025 shipments. According to Crisil Intelligence's latest monthly dashboard, exports are estimated at 160.5 thousand tonnes in CY2025, compared with 163.8 thousand tonnes in CY2024, marking a drop of about 3.3 thousand tonnes. The fall was attributed largely to the earlier 50 per cent additional US duty.

The US accounts for nearly 30 per cent of India's shipments in the prepared gherkins segment. The higher duty affected more

than 90,000 small and marginal farmers engaged in contract cultivation.

Gherkins are small cucumbers harvested at an early stage, typically measuring 4-8 cm in length. They are usually pickled in vinegar or brine and sold in jars or cans.

**EXPORTS BOOST** India exported 2,89,594.37 tonnes of prepared and preserved cucumbers and gherkins in FY25, valued at \$306.72 million, according to the Agricultural and Processed Food Products Export Development Authority, based on Directorate General of Commercial Intelligence and Statistics data.

The US initially imposed a 25 per cent reciprocal tariff on Indian imports in August 2025. On August 6, 2025, it announced an additional 25 per cent tariff on Indian



**BIG CHUNK.** The US accounts for nearly 30 per cent of India's shipments in the prepared gherkins segment

goods linked to India's energy purchases from Russia, which took effect on August 27, 2025.

**TARIFF BURDEN** This raised the total tariff burden on most Indian exports to 50 per cent, one of the highest rates imposed by the US on any trading partner. Exporters said the 50 per

cent tariff disrupted trade flows.

“There was a reduction of around 10 per cent in volumes to the US due to the 50 per cent duties. Now, the duty has been reduced to 18 per cent. Volumes are expected to be restored, possibly within two months,” said Pradeep Poovayya, Vice-President of the Indian

Gherkins Association.

Somanna Mukkatira Kaveriappa, Chief Executive Officer and Director of International Agricultural Processing Pvt Ltd (IAP), said Indian gherkins were already attracting duties of 7.7 per cent to 9.6 per cent before the reciprocal tariff. The 50 per cent duty was imposed on top of this.

“Even now, the 18 per cent remains an additional burden; so it has not returned to the earlier duty structure,” he said.

If the 18 per cent tariff is stable, then business would be stable, he added. Sandeep Rathour, plant manager at Koeleman India Pvt Ltd, said the impact was severe. “If we were exporting 100 containers earlier, we shipped barely 20 last year. The US market was almost

closed except for pending orders,” he said.

**HIGH EXPOSURE** Companies with high exposure to the US saw sharper declines. Kaveriappa said his company, which had over 60 per cent of its business in the US, saw volumes drop by more than 50 per cent during the tariff spike.

Exporters said the current 18 per cent duty still limits competitiveness against suppliers who face no duty in the US market.

The India-EU Free Trade Agreement seeks to reduce or eliminate tariffs on goods and services and was finalised on January 27. Exporters said there will be no immediate impact. “The duty reduction will happen in a phased manner. Nothing will happen in the next year,” Poovayya said.

Rathour said Europe drives volumes but not margins. For most exporters, the US remains the preferred market for profitability. If tariffs in Europe are reduced to zero under the agreement, Indian suppliers could gain share from Turkey, he said.

**KARNATAKA LEADS** Karnataka accounts for 60 per cent to 70 per cent of India's gherkin exports, followed by Tamil Nadu, Telangana and Andhra Pradesh.

While exporters expect US shipments to return to earlier levels under the 18 per cent regime, gains in Europe will depend on the timing and structure of tariff reductions under the trade pact. Emerging markets such as Mexico and Chile are also being explored.

The writer is an intern

# 3 senior Raine Group bankers in India set to quit

Bloomberg

Three senior bankers at Raine Group in India, including the country head, are set to leave the boutique adviser to set up a new investment banking firm, according to sources.

Gaurav Mehta, a Partner and head of Raine in India, and Managing Directors Naveen Asopa and Girish Punjabi are departing the firm, they said.

Raine Co-founder Jeff Sine is now leading the Mumbai office and building up the team to help push forward a significant pipeline of deals, Raine spokesman Dan Gagnier said. Raine provides advisory services, including for mergers and acquisitions, and private capital raising.